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Report No: PADHI01043

INTERNATIONAL DEVELOPMENT ASSOCIATION

PROJECT APPRAISAL DOCUMENT

ON A

PROPOSED GRANT

IN THE AMOUNT OF SDR 72.6 MILLION
(US\$95 MILLION EQUIVALENT)

AND CO-FINANCED BY

A GRANT FROM THE SOMALIA MULTI-PARTNER FUND
IN THE AMOUNT OF US\$10 MILLION

TO THE

FEDERAL REPUBLIC OF SOMALIA

FOR A

SOMALIA PRODUCTIVE, RESILIENT, AND INCLUSIVE GROWTH (SPRING) PROJECT

APRIL 16, 2025

Finance, Competitiveness and Investment Global Practice
Eastern and Southern Africa Region

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CURRENCY EQUIVALENTS

(Exchange Rate Effective February 28, 2025)

Currency Unit US\$

SDR 0.764 = US\$1

US\$1.309 = SDR 1

FISCAL YEAR

January 1 - December 31

Acting Regional Vice President: Amit Dar

Regional Practice Director: Hassan Zaman

Division Director: Qimiao Fan

Practice Manager: Alwaleed Fareed Alatabani

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ABBREVIATIONS AND ACRONYMS

AM	Accountability Mechanism
AML/CFT	Anti-Money Laundering/Countering the Financing of Terrorism
BDS	Business Development Services
BoS	Bank of Somaliland
CBR	Correspondent Banking Relationship
CBS	Central Bank of Somalia
CE	Citizen Engagement
CIS	Credit Information System
CPF	Country Partnership Framework
CPSD	Country Private Sector Diagnostic
CRI	Corporate Results Indicator
DA	Designated Account
DFIL	Disbursement and Financial Information Letter
DPA	Data Protection Authority
DRIVE	De-risking, Inclusion, and Value Enhancement of Pastoral Economies in the Horn of Africa
E&S	Environmental and Social
EAC	East African Community
EAFS	External Assistance Fiduciary Section
EBIT	Earnings before Interest and Taxes
EIRR	Economic Internal Rate of Return
e-KYC	Electronic-Know Your Customer
ESCP	Environmental and Social Commitment Plan
ESF	Environmental and Social Framework
ESRS	Environmental and Social Review Summary
FCV	Fragility, Conflict, and Violence
FGS	Federal Government of Somalia
FIF	Financial Intermediary Financing
FM	Financial Management
FMS	Federal Member State
FRC	Financial Reporting Center
FSC	Financial Stability Committee
FSI	Financial Soundness Indicator
GBV	Gender-Based Violence
GDP	Gross Domestic Product
GRM	Grievance Redress Mechanism
GRS	Grievance Redress Service
HLO	High-Level Objective
ICT	Information and Communication Technology
IFC	International Finance Cooperation
IFR	Interim Financial Report
IMF	International Monetary Fund

IPF	Investment Project Financing
IVA	Independent Verification Agent
KfW	<i>Kreditanstalt für Wiederaufbau</i> (Credit Institute for Reconstruction)
M&E	Monitoring and Evaluation
MDAs	Ministries, Departments, and Agencies
MFD	Maximizing Finance for Development
MFI	Microfinance Institution
MIS	Management Information System
MoCI	Ministry of Commerce and Industry
MoF	Ministry of Finance
MSMEs	Micro, Small, and Medium Enterprises
NIRA	National Identification and Registration Authority
NPL	Nonperforming Loan
NPS	National Payment System
NRA	National Risk Assessment
NTP I	National Transformation Plan I
OAG	Office of the Auditor General
OHS	Occupational Health and Safety
PA	Paris Alignment
PBC	Performance-Based Condition
PCE	Private Capital Enabling
PDO	Project Development Objective
PFI	Participating Financial Institution
PFM	Public Financial Management
PIU	Project Implementation Unit
POM	Project Operations Manual
PP	Procurement Plan
PPSD	Project Procurement Strategy for Development
PSC	Project Steering Committee
QPR	Quarterly Progress Report
RSM	Risk-Sharing Mechanism
SACCO	Savings and Credit Cooperative Society
SBRS	Somalia Business Registration System
SCALED-UP	Somalia Capacity Advancement, Livelihoods and Entrepreneurship, through Digital Uplift Project
SCRIP	Somalia Crisis Recovery Project
SDRB	Somali Development and Reconstruction Bank
SEAH	Sexual Exploitation and Abuse/Harassment
SEP	Stakeholder Engagement Plan
SG	Strategic Goal
SIPS	Somalia Instant Payment System
SMEs	Small and Medium Enterprises
SMPF	Somalia Multi-Partner Fund

SPRING	Somalia Productive, Resilient, and Inclusive Growth
STEP	Systematic Tracking of Exchanges in Procurement
TA	Technical Assistance
UNDP	United Nations Development Programme
WBG	World Bank Group



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**DATASHEET****BASIC INFORMATION**

Project Beneficiary(ies)	Operation Name		
Somalia	Somalia productive, resilient, and inclusive growth (SPRING) project		
Operation ID	Financing Instrument	Environmental and Social Risk Classification	
P501662	Investment Project Financing (IPF)	Substantial	

Financing & Implementation Modalities

☐ Multiphase Programmatic Approach (MPA)	☐ Contingent Emergency Response Component (CERC)
☐ Series of Projects (SOP)	☒ Fragile State(s)
☒ Performance-Based Conditions (PBCs)	☐ Small State(s)
☒ Financial Intermediaries (FI)	☐ Fragile within a non-fragile Country
☐ Project-Based Guarantee	☒ Conflict
☐ Deferred Drawdown	☐ Responding to Natural or Man-made Disaster
☐ Alternative Procurement Arrangements (APA)	☐ Hands-on Expanded Implementation Support (HEIS)

Expected Approval Date	Expected Closing Date
07-May-2025	30-Jun-2030
Bank/IFC Collaboration	Joint Level
Yes	Complementary or Interdependent project requiring active coordination

Proposed Development Objective(s)

Promote private sector-led growth and job creation by improving the business-enabling environment, strengthening the financial system, and enhancing access to finance

Components

Component Name	Cost (US\$)
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Comp. 1: Improving the enabling environment for the private sector	36,000,000.00
Comp. 2: Deepening financial sector reforms and strengthening institutional capacity	37,500,000.00
Comp. 3: Enhancing access to finance and resilience for MSMEs	25,500,000.00
Comp. 4: Project Management	6,000,000.00

Organizations

Borrower:	Federal Republic of Somalia		
Contact	Title	Telephone No.	Email
Implementing Agency:	Ministry of Finance		
Contact	Title	Telephone No.	Email
Saleiman S.Umar	Director General	+252 61 3959999	dg@mof.gov.so

PROJECT FINANCING DATA (US\$, Millions)

Maximizing Finance for Development

Is this an MFD-Enabling Project (MFD-EP)? Yes

Is this project Private Capital Enabling (PCE)? Yes

SUMMARY

Total Operation Cost	105.00
Total Financing	105.00
of which IBRD/IDA	95.00
Financing Gap	0.00

DETAILS

World Bank Group Financing

International Development Association (IDA)	95.00
IDA Grant	95.00

**Non-World Bank Group Financing**

Trust Funds	10.00
Somalia Multi-Partner Fund	10.00

IDA Resources (US\$, Millions)

	Credit Amount	Grant Amount	SML Amount	Guarantee Amount	Total Amount
National Performance-Based Allocations (PBA)	0.00	95.00	0.00	0.00	95.00
Total	0.00	95.00	0.00	0.00	95.00

Expected Disbursements (US\$, Millions)

WB Fiscal Year	2025	2026	2027	2028	2029	2030	2031
Annual	5.00	22.50	22.50	25.00	15.00	12.50	2.50
Cumulative	5.00	27.50	50.00	75.00	90.00	102.50	105.00

PRACTICE AREA(S)**Practice Area (Lead)**

Finance, Competitiveness and Innovation

Contributing Practice Areas

Digital Development

CLIMATE**Climate Change and Disaster Screening**

Yes, it has been screened and the results are discussed in the Operation Document

**SYSTEMATIC OPERATIONS RISK- RATING TOOL (SORT)****Risk Category****Rating**

1. Political and Governance	● High
2. Macroeconomic	● High
3. Sector Strategies and Policies	● Substantial
4. Technical Design of Project or Program	● Substantial
5. Institutional Capacity for Implementation and Sustainability	● Substantial
6. Fiduciary	● Substantial
7. Environment and Social	● Substantial
8. Stakeholders	● Substantial
9. Overall	● High

POLICY COMPLIANCE**Policy**

Does the project depart from the CPF in content or in other significant respects?

☐ Yes ☒ No

Does the project require any waivers of Bank policies?

☐ Yes ☒ No

ENVIRONMENTAL AND SOCIAL**Environmental and Social Standards Relevance Given its Context at the Time of Appraisal**

E & S Standards	Relevance
ESS 1: Assessment and Management of Environmental and Social Risks and Impacts	Relevant
ESS 10: Stakeholder Engagement and Information Disclosure	Relevant
ESS 2: Labor and Working Conditions	Relevant
ESS 3: Resource Efficiency and Pollution Prevention and Management	Relevant
ESS 4: Community Health and Safety	Relevant



ESS 5: Land Acquisition, Restrictions on Land Use and Involuntary Resettlement	Not Currently Relevant
ESS 6: Biodiversity Conservation and Sustainable Management of Living Natural Resources	Not Currently Relevant
ESS 7: Indigenous Peoples/Sub-Saharan African Historically Underserved Traditional Local Communities	Not Currently Relevant
ESS 8: Cultural Heritage	Not Currently Relevant
ESS 9: Financial Intermediaries	Relevant

NOTE: For further information regarding the World Bank's due diligence assessment of the Project's potential environmental and social risks and impacts, please refer to the Project's Appraisal Environmental and Social Review Summary (ESRS).

LEGAL

Legal Covenants

Sections and Description

- i. Section I.A.1(a) of Schedule 2 to the Financing Agreement Establish not later than thirty (30) days after the Effective Date, and thereafter maintain throughout the period of Project implementation, a Project steering committee ("Project Steering Committee"): (i) chaired by the Director General of the Ministry of Finance, and comprised of Director General of the Ministry of Commerce and Industry (MoCI), General Manager of CBS, Director of FRC, Director General of NIRA, Chief Executive Officer of Gargaara and other stakeholders as set forth in the POM; and (ii) vested with such powers, functions and competencies, acceptable to the Association and set forth in the POM, as shall be required to: (A) provide support to the PIU addressing any obstacles to Project implementation; (B) provide policy direction and guidance to the PIU for the carrying out of the Project; (C) promote inter-agencies and federal collaboration, coordination, and cooperation for Project activities; and (D) review and approve the Annual Work Plans and Budgets and Project Reports.
- ii. Section I.B.2(b)(ii) of Schedule 2 to the Financing Agreement Without limitation to the provisions of sub-paragraph (a) immediately above, the Recipient shall: (ii) not later than ninety (90) days after the Effective Date, enter into a legal agreement acceptable to the Association, with the MSME Financing Facility, setting out the respective roles and responsibilities of the MoF and the MSME Financing Facility, as may be further provided in the POM.
- iii. Section II.B.1(a) of Schedule 2 to the Financing Agreement Without limitation to the provisions of Part A of this Section II, for purposes of implementation of the PBCs under Part 2.2(a)(ii) of Schedule 1 to this Agreement, the Recipient shall: (a) not later than nine (9) months after the Effective Date, appoint and enter into a verification agreement with a Verification Agency, under terms of reference satisfactory to the Association

Conditions

Type	Citation	Description	Financing Source
Effectiveness	Section 4.01 of Article IV of the Financing Agreement	(a) the Recipient has prepared and adopted the Project Operations Manual in form and substance satisfactory to the	IBRD/IDA



		Association; and (b) the SMPF Grant Agreement has been duly executed and delivered, and all conditions precedent to its effectiveness, or to the right of the Recipient to make withdrawals under it (other than the effectiveness of this Agreement), have been fulfilled.	
Effectiveness	Section 4.01 of Article IV to the Grant Agreement	(a) the Recipient has prepared and adopted the Project Operations Manual in form and substance satisfactory to the Bank; and (b) the Financing Agreement has been duly executed and delivered, and all conditions precedent to its effectiveness, or to the right of the Recipient to make withdrawals under it (other than the effectiveness of this Agreement), have been fulfilled.	Trust Funds
Disbursement	Section III.B.1(b) of Schedule 2 to the Financing Agreement	No withdrawal shall be made under Category (2) unless and until the Recipient has put in place as part of its legal regime, (i) a national law governing payment systems, and (ii) a revised law governing the CBS.	IBRD/IDA
Disbursement	Section III.B.1(c) of Schedule 2 to the Financing Agreement	No withdrawal shall be made under Category (3) unless and until Somaliland has: (i) executed the Somaliland Subsidiary Agreement setting forth	IBRD/IDA



		implementation arrangements for Somaliland's Respective Activities under the Project (including the flow of funds out of the Financing proceeds) and all Somaliland's internal requirements for the agreement to be binding upon Somaliland in accordance with its terms have been duly obtained/secured; (ii) prepared and formally adopted the Somaliland Manual for its Respective Activities under the Project; (iii) established the institutional arrangements set forth in the foregoing manual, as shall be required for carrying out its Respective Activities under the Project, and (iv) prepared, adopted and disclosed its environmental and social commitment plan, including the environmental & social risk management documents; in a manner and substance satisfactory to the Association.	
Disbursement	Section III.B.1(d) of Schedule 2 to the Financing Agreement	No withdrawal shall be made under Category (4) with respect to each PBC, as set forth in Schedule 3, for which a withdrawal request has been submitted, until and unless the Recipient has also submitted: (i) evidence, in form and substance	IBRD/IDA



		satisfactory to the Association, of the Eligible PBC Expenditures paid, as presented in the IFR and verified pursuant to the POM; and (ii) supporting documentation confirming the Recipient’s achievement of the respective PBC(s) in form and substance satisfactory to the Association, as further elaborated in Schedule 3 and as set forth in the Verification Protocol, including, but not limited to, a report issued by the Verification Agent, confirming the achievement of the respective PBC or PBCs and the amount to be paid.	
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I. STRATEGIC CONTEXT

A. Project Strategic Context

1. **The Somalia Productive, Resilient, and Inclusive Growth (SPRING) Project aims to catalyze private sector-led growth in Somalia by addressing systemic barriers and key binding constraints that most critically hinder economic development.** Building on the foundations laid by ongoing World Bank Group (WBG) analytical activities and World Bank-financed operations, the project seeks to address cross-cutting constraints that hamper private sector development in the country. The engagement is particularly critical given Somalia's urgent need for broad-based and resilient private-sector-led growth. While the country has made notable progress in normalizing political processes, rebuilding public institutions, and implementing key reforms,¹ their sustainability requires that more inclusive economic dividends are generated for the Somali population, particularly in the current context of scarce opportunities and extreme vulnerability.² Addressing these challenges will require the private sector to play a pivotal role, particularly given the constrained fiscal space and limited institutional capacity of the Federal Government of Somalia (FGS).³ However, the private sector remains underdeveloped and unable to drive structural transformation due to a 'missing middle', low productivity, and minimal economic integration. These challenges stem from institutional and regulatory weaknesses,⁴ underperformance in enabling sectors (for example, financial services),⁵ and insufficient resilience across key value chains.

2. **Two mutually reinforcing interventions are essential for establishing a strong foundation for structural transformation in the medium to long term.** First, advancing legitimate, effective, and equitable formal institutional and regulatory frameworks is critical. This requires prioritizing initiatives to strengthen the business-enabling environment, including addressing legal, regulatory, and institutional gaps for private sector development; supporting trade integration efforts; and scaling up digital ID enrollment to enhance service access and delivery. Second, diversifying Somalia's economy into higher-value-added activities and promoting quality jobs depend on stronger business enabling sector reforms. In this regard, strengthening financial sector stability, efficiency, and inclusion is crucial.

3. **Since structural and regulatory reforms take time to generate economic growth and job creation in fragile contexts such as Somalia, it is also critical to implement targeted value chain development interventions to avoid backsliding.** Focusing on sectors with potential for productivity gains—such as livestock, crops, and fisheries—can stimulate economic opportunities, reduce poverty, and reinforce broader reforms. Additionally, this will foster trust and collaboration among stakeholders, enabling collective action against predation and rent-seeking while strengthening supply chains for higher-value-added activities. To this end, the operation will focus on derisking financing to expand access to finance for micro, small, and medium enterprises (MSMEs), particularly in vulnerable sectors and for women-led businesses, while providing business development services (BDS) to lay the groundwork for resilient and inclusive growth.

¹ World Bank. 2024. "Somalia Country Private Sector Diagnostic." World Bank Group.

² Poverty is widespread and high with an estimated 54 percent of the Somali population living below the national poverty line of US\$754 per person in 2022. Job generation in the country is considerably low, and most economic activity is informal with the percentage of informal jobs in Somalia estimated to be above 91 percent. Somali women are particularly disadvantaged, with gender gaps in employment and labor force, with participation rates of around 21 and 23 percent, respectively.

³ World Bank. 2021. "Domestic Resource Mobilization in Somalia." Washington, DC; IMF (International Monetary Fund). 2023. *Somalia: IMF Staff Report for the Sixth Review Under the Extended Credit Facility*.

⁴ In a context of institutional weakness, firms that lack social and political networks endure a more burdensome business environment. This is particularly so for women-owned businesses, which are generally excluded from existing political and clan-based networks because of the patriarchal structure of Somali society.

⁵ World Bank. 2022. "Collection of Policy Notes for the New Somali Government—Unlocking Somalia's Potential to Stabilize, Grow and Prosper (English)." World Bank Group, Washington, DC.



B. Sectoral and Institutional Context

4. **Somalia's private and financial sectors remain central to the country's economy.** The private sector accounts for an estimated 95 percent of total job creation in Somalia and has been the primary driver of economic growth,⁶ consistently outpacing the average rates of Sub-Saharan Africa and fragility, conflict, and violence (FCV) affected countries since 2012.⁷ It also serves as the main provider of goods and services, including those traditionally delivered by the state. The country holds immense potential for growth due to its abundant natural resources (for example, hydrocarbons, minerals, renewable energy potential) as well as its strategic location as a potential gateway to international markets. Meanwhile, the financial sector is playing an increasingly pivotal role in the economy. From 2018 to 2023, total assets and customer deposits at commercial banks more than quadrupled,⁸ private transfers and remittances grew by 36 percent between 2019 and 2022, and mobile money usage expanded significantly, with 97 percent of surveyed households reporting access to mobile money or wallets, according to the National Bureau of Statistics.

5. **Significant progress has been made through various World Bank engagements.** Through the Somalia Country Private Sector Diagnostic (CPSD, 607500), the Supporting Financial Inclusion and Private Sector-led Recovery in Somalia (P179247), and the Somalia Capacity Advancement, Livelihoods and Entrepreneurship, through Digital Uplift Project (SCALED-UP, P168115), the World Bank has supported the achievement of key milestones, including the enactment of various business-enabling laws and regulations, significant capacity-building efforts at key institutions, the rollout of the Somalia National Payment System (NPS), the introduction of the foundational digital ID system (with nearly 100,000 registrations completed), the deployment of the Somalia Business Registration System (SBRS) (with over 5,000 businesses registered), and the establishment of the Gargaara MSME financing facility (which has cumulatively disbursed more than US\$27 million to over 1,900 MSMEs). Complementary efforts, such as the Somalia Financial System Initiative (P177665) and the Somalia Second Inclusive Growth Development Policy Operation (P179307), are advancing private sector reforms and aligning financial institutions with global systems. Sector-specific projects, including the De-risking, Inclusion, and Value Enhancement of Pastoral Economies in the Horn of Africa (DRIVE, P176517), the Somali Sustainable Fisheries Development Project – Badmaal (P178032), and the Food Systems Resilience Program for Eastern and Southern Africa (Phase 3) (P177816), are strengthening productive sectors, while the Somalia Crisis Recovery Project (SCRIP, P173315) is rebuilding infrastructure in flood- and drought-affected regions. Additional initiatives addressing gaps in energy, transport, information and communication technology (ICT), education, and water are collectively driving resilience and sustainable growth in Somalia.

6. **However, a range of challenges to private sector development remain unaddressed.** Regulatory and institutional frameworks for private sector development in Somalia are still underdeveloped and fragmented, posing significant barriers to growth. The Somalia CPSD noted the need for “deepening reforms to establish legitimate, effective, and equitable formal institutions and regulatory frameworks for private sector-led growth” as a key recommendation to unlock private-sector-led growth in Somalia. Further efforts are needed to implement a unified and harmonized business registration and licensing system across the country, building on the existing SBRS. Somalia also needs to take steps to better align the country's investment policy and promotion and public-private partnership frameworks with best practices. In line with experiences from other FCV countries, institutional capacity building at key institutions for private sector development remains a priority.

7. **Lack of access to finance also continues to be a major challenge for private sector development notwithstanding recent advancements.**⁹ While there are now more than 60 financial institutions providing basic services such as retail banking, money transfers, mobile money, and insurance, banking penetration in Somalia remains low, with less than 10

⁶ World Bank. 2021. *Somalia Country Economic Memorandum: Towards an Inclusive Jobs Agenda*. Washington, DC: World Bank.

⁷ World Development Indicators, 2023.

⁸ Central Bank of Somalia data analysis, December 2023.

⁹ Financial sector development has been prioritized in the CPSD given its critical role for Somalia's development.



percent adults holding accounts.¹⁰ Credit to the private sector, at under 5 percent of the gross domestic product (GDP) as of December 2023,¹¹ is constrained by banks' risk aversion, collateral concerns, and preference for holding cash. As a result, 77 percent of businesses report being credit constrained, with 95 percent of larger firms relying on internal funds.¹² This situation is even worse for women-led enterprises, which not only identify access to finance more frequently as a significant challenge but are also less likely to apply for or receive approval for loans from financial institutions.

8. **Financial sector oversight and infrastructure remain nascent, despite institutions such as the Central Bank of Somalia (CBS) and the Financial Reporting Center (FRC) gradually building capacity.** Key financial laws and regulations remain pending, with related regulation and policies yet to be developed, thus leaving large oversight gaps. FRC also needs stronger enforcement capacity to address financial integrity risks that limit integration with global systems and foreign investment.¹³ Despite progress in the NPS, gaps in the interoperability of credit and debit transactions remain, and the lack of credit reporting and derisking mechanisms continue to hinder lending. SCALED-UP supported the FRC completion of the National Risk Assessment (NRA), as well as broader capacity-building efforts at FRC, yet the NRA action plan is yet to be fully implemented, and capacity gaps at FRC remain.

9. **Gargaara, Somalia's first apex MSME financing facility, was established by the FGS with the support of SCALED-UP in 2019.** It has made significant strides toward reaching full financial and institutional sustainability, and the remaining steps will be completed with the support planned under this project. As Gargaara continues to work towards full operationalization of core functions, discussions continue within FGS regarding its capitalization and long-term sustainability, including it having an institutional home in the recently revived Somali Development and Reconstruction Bank (SDRB). In parallel, efforts are ongoing to strengthen Somalia's broader development finance landscape with a focus on supporting the National Transformation Plan I (NTP I) 2025–29, and efforts are underway to operationalize the SDRB. However, expanding credit to priority sectors continues to remain constrained by weak governance, risk management, and systems capacity of financial institutions, leading to their limited risk appetite to engage in these areas.

10. **Over the past years, CBS has made significant progress toward becoming a policy-oriented and functionally organized institution, adopting a new organizational structure and making staffing development a core focus of attention.** Internal systems at the CBS have been overhauled and modernized, a full suite of internal policies, procedures, and manuals have been developed, and internal controls were strengthened, leading to repeated achievement of a clean external audit opinion. Outreach to Federal Member States (FMS) is also being enhanced, including through the establishment of new CBS branch offices. The CBS board recently approved the CBS Strategy 2025–2029 that identifies key reform priorities organized around the four strategic goals (SGs) of the new strategy: (a) SG1: Issue a viable national currency and develop, implement, and continuously assess effective monetary and foreign exchange policies; (b) SG2: Strengthen the financial system's stability, effectiveness, and inclusiveness; (c) SG3: Enhance the financial market infrastructure to ensure payment systems and services are safe and efficient; and (d) SG4: Promote good governance, institutional resilience, and operational excellence.

11. **The Bank of Somaliland (BoS) was established in 1994 to operate as a Central Bank, and it is guided by the Somaliland Constitution.** The BoS manages monetary and foreign exchange policies and licenses, regulates, and supervises operations of financial institutions in Somaliland. Its strategic plan for 2023–2025 focuses on maintaining and promoting monetary stability, financial stability, and NPS stability. Though its central banking capacity has not been recognized by the FGS and CBS, it continues to operate in that capacity in the absence of CBS presence in Somaliland. Building consensus around key reforms and developing harmonized systems and standards—between the FGS and FMS

¹⁰ Compared to 39 percent in low-income countries and 55 percent in Sub-Saharan Africa. World Bank. 2022. "The Little Data Book on Financial Inclusion 2022." World Bank, Washington, DC.

¹¹ International Monetary Fund. 2024. *Staff Report for the First Review Under the Extended Credit Facility, and Requests for Modification of Performance Criteria*. IMF Country Report No. 24/158.

¹² World Bank. Forthcoming. "Somalia Business Survey – Quantitative and Qualitative Report."

¹³ Federal Government of Somalia. 2022. "National Risk Assessment of Money Laundering and Terrorist Financing." While the NRA identified threats and vulnerabilities and supported the development of a roadmap, the implementation has been slow.



and at the local level—is essential for a coordinated development of financial systems and regional economic development and is, thus, being given high priority by all governments.

12. **Somalia’s private sector faces significant challenges, including due to a lack of climate resilience, which hampers its ability to grow and contribute meaningfully to the economy.** Somalia is one of the most vulnerable countries to climate change globally. Approximately two-thirds of the country’s population reported having experienced at least one shock in 2021–2022 that severely affected their economic situation. This vulnerability is likely to worsen as the Somali climate is expected to change, with increasing temperatures (estimated up to 3°C by the end of the century) as well as erratic and extreme rainfalls. In those circumstances, Somali firms in key sectors such as agriculture, livestock, and fisheries face considerable challenges. These sectors, which form the backbone of the Somali productive sector, are especially vulnerable because they lack the infrastructure, financial support, and technological innovations needed to withstand such shocks. MSMEs often operate with limited knowledge of, and access to, resources such as climate-resilient technologies, early warning systems, or derisking options that could help them adapt to and mitigate the risks of environmental disruptions. Moreover, weak infrastructure (for example, for water management) and fragmented regulatory frameworks exacerbate the challenges for these enterprises, limiting their ability to adapt to climate change. In the meantime, as noted in the Somalia CPSD, growth in these priority value chains is critical to bring short- to medium-term dividends in terms of creating inclusive jobs and reducing poverty.

13. **Women engaged in economic activities face disproportionate challenges in Somalia, especially since many are engaged in climate-vulnerable subsistence production and are particularly affected by issues with limited access to finance and access to markets/networks.** Somalia’s overall Women, Business, and the Law¹⁴ score is 46.9 points out of 100, 23 points below the Sub-Saharan African average of 69.9 points. Key issues include the absence of legal protection against gender-based discrimination in access to credit, no legislation prohibiting sexual harassment in the workplace, and restrictions on women working at night and in certain industries.

14. **To address these challenges, the SPRING Project will focus on strengthening foundational building blocks critical for private-sector-led equitable growth in Somalia.** In alignment with the Somali Government’s prioritization of targeted interventions to promote a more inclusive and sustainable economic growth trajectory, the project will implement several reinforcing measures. To improve the enabling environment for the private sector, reforms will focus on strengthening institutional and regulatory frameworks, as well as on expanding the rollout of the digital ID across Somalia to support service delivery. To enhance financial sector stability, integrity, and access to financial services, the project will continue support for financial sector reforms in Somalia. Lastly, to strengthen the resilience of MSME clusters in key economic sectors, the operation will derisk financing to MSMEs, particularly in productive and climate-vulnerable sectors, through risk-sharing mechanisms (RSMs) and other innovative products that maximize financing for development by mobilizing private capital, while bolstering firms’ capacity to climate-proof their operations through BDS and targeted adaptation interventions. The project includes dedicated support to improve women’s access to ID, business registration services, and finance through specific measures under Components 1–3, thereby narrowing the gender gap in each area and alleviating critical constraints on women’s economic activities, including entrepreneurship as enumerated in the gender section of this document.

15. **In doing so, this project will contribute to the World Bank’s mission to end extreme poverty and boost shared prosperity on a livable planet.** The project is aligned with the WBG Country Partnership Framework (CPF) for the Federal Republic of Somalia for the Period FY24–28 (Report Number 187254-SO), discussed by the Board of Executive Directors on February 29, 2024. It contributes to the CPF High-Level Objective (HLO) 1: *Inclusive, private sector-led job creation and economic growth* which aims to support productive small and medium enterprises (SMEs), enhance financial inclusion, improve the business and investment climate, and invest in critical infrastructure, and HLO 3: *Greater resilience to climatic*

¹⁴ Women, Business, and the Law is an index structured around the economic decisions women make as they go through different stages of their working lives. It measures eight indicator scores on a scale of 0–100, with 100 representing the best score overall.



and other shocks which aims to increase the resilience of urban and rural populations in the context of extreme vulnerability to climate change, straining infrastructure, and persistent drought and floods undermining rural livelihoods and food security. The project also contributes to the cross-cutting foundational HLO: *Macroeconomic stability and governance foundations*, in particular Objective 0.1: *Increase the effectiveness, transparency, and accountability of institutions* and Objective 1.1: *Strengthen financial inclusion and growth*. The project is also aligned with the 2023 Systematic Country Diagnostic Update,¹⁵ supporting in particular HLO 5: *Enhanced Private Sector for Better Jobs* and HLO 3: *Improved Household Resilience to Shocks*. It also directly contributes to Somalia's NTP I 2025–2029 under the pillars of *Sustainable Economic Transformation* and *Environment and Climate Resilience* which prioritize financial stability, strengthening financial market infrastructure and enhancement of financial services for better financial inclusion. The support to Somaliland will promote a more harmonized development of financial systems across the FGS and Somaliland.

II. PROJECT DESCRIPTION

A. Project Development Objective

16. The project development objective (PDO) is to promote private sector-led growth and job creation by improving the business-enabling environment, strengthening the financial system, and enhancing access to finance.¹⁶

B. Theory of Change and PDO Indicators

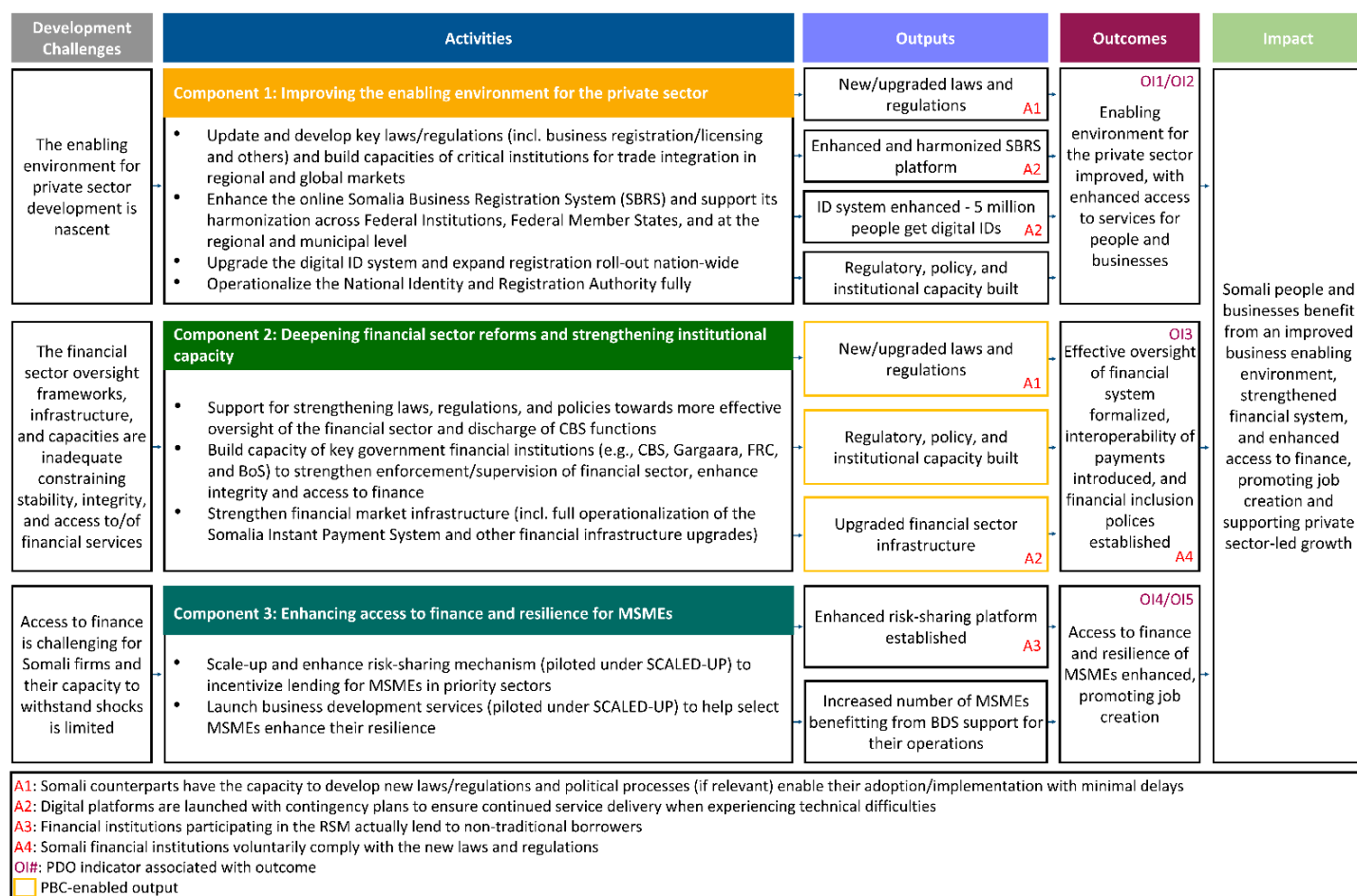
17. To achieve the PDO, the project promotes economic development by addressing critical constraints to Somalia's private sector development with a cumulative impact on the overall enhancement of economic activity and the promotion of job creation. It strengthens the business-enabling environment, through improvements to regulatory and institutional frameworks, and the rollout of a digital ID system to enable secure transactions and efficient service delivery. In parallel, the project aims to enhance stability, oversight, and access to finance, through the implementation of financial sector reforms, and the creation of an RSM to derisk financing to businesses. Relatedly, the project will support improvements to firm performance, market access, and competitiveness as well as address firm vulnerability to external shocks through the provision of BDS to MSMEs in key economic sectors.

¹⁵ World Bank. 2023. "Somalia Systematic Country Diagnostic Update: Accelerating the Building of Inclusive Institutions for Resilience and Jobs." World Bank Group.

¹⁶ For the purposes of this project, private-sector-led growth means economic growth that is primarily driven by the private sector, and job creation means the broad generation of new employment opportunities (including better jobs) linked to specific interventions under this project. Improving the business-enabling environment is understood as positively changing the laws, policies, regulations, systems, and services that facilitate the conduct of private and financial sector activity in the country. Strengthening the financial system means adopting new reforms and supporting the development of institutions for the financial sector, and enhancing access to finance is understood as creating means for select businesses/priority segments to benefit from loans through credit enhancements.



Figure 1. Theory of Change



PDO Indicators

- Number of new firms benefitting from reformed business registration requirements (of which are women-owned, percentage) (OI1)
- People with digitally verifiable identification (number, of which are women) (OI2)
- Number of new bank accounts opened (OI3)
- Number of businesses accessing credit with the support of the RSM¹⁷ (OI4)
- Number of jobs created through the RSM and BDS¹⁸ (OI5).

C. Project Beneficiaries

18. The project is targeting Somali MSMEs and individuals (5,000,000 people, 26 percent of total population) as direct beneficiaries benefitting from an improved business environment, increased access to financial services, and enhanced access to services and jobs. Through a streamlined business-enabling environment and financial sector reforms, the project aims to promote private sector development and resilience and enable job creation cumulatively. Key

¹⁷ This indicator is linked to the World Bank Corporate Results Indicator (CRI): People and businesses using financial services.

¹⁸ This indicator is linked to the World Bank CRI: New or better jobs.



institutions, such as the Ministry of Finance (MoF) and the CBS, will gain from capacity building and the strengthening of institutional and regulatory frameworks. This holistic approach—combining business environment reforms, financial infrastructure, derisking of access to finance to priority and vulnerable sectors, and measures to improve economic resilience—will support more inclusive and sustainable economic development in the country. By addressing systemic gaps and supporting MSMEs, the project ensures that Somalia’s private sector is well-positioned to capitalize on new opportunities in a more sustainable manner. These improvements are expected to translate into increased revenues, profits, and job creation, directly benefiting individuals through new and improved employment opportunities.

D. Project Components

19. The US\$105 million project will continue strengthening foundational building blocks critical for private-sector-led growth, enabling job creation cumulatively. The project includes four reinforcing components (Table 1). The project design will leverage performance-based conditions (PBCs) to further incentivize reforms and results, as appropriate, and follows the World Bank Guidance on Financial Intermediary Financing (FIF). The project will be funded by a US\$95 million equivalent IDA grant and a US\$10 million grant from the Somalia Multi-Partner Fund (SMPF).

Table 1. Project Components Cost Breakdown (US\$, million)

Components	International Development Association (IDA) Costs	Somalia Multi-Partner Fund (SMPF) Costs	Total
Component 1: Improving the enabling environment for the private sector	32.0	4.0	36.0
Subcomponent 1.1: Strengthening institutional and regulatory framework for the private sector	11.0	—	11.0
Subcomponent 1.2: Enhancing the Somali ID System	21.0	4.0	25.0
Component 2: Deepening financial sector reforms and strengthening institutional capacity	31.5	6.0	37.5
Subcomponent 2.1: Operational and capacity-building support to Gargaara	4.0	2.0	6.0
Subcomponent 2.2: Strengthening financial sector stability, integrity, and infrastructure ^a	27.5	4.0	31.5
Component 3: Enhancing access to finance and resilience for MSMEs	25.5	—	25.5
Subcomponent 3.1: Derisking access to finance for MSMEs	14.5	—	14.5
Subcomponent 3.2: Enhancing MSMEs’ resilience	11.0	—	11.0
Component 4: Project Management	6.0	—	6.0
Total	95.0	10.0	105.0

Note: a. SMPF funding will not be used against PBCs.

Component 1: Improving the enabling environment for the private sector (US\$36 million, of which US\$32 million equivalent IDA and US\$4 million SMPF)

20. This component will help address the key gaps in the business-enabling environment as well as strengthen institutions and infrastructure to promote private sector-led growth in Somalia.

Subcomponent 1.1: Strengthening institutional and regulatory framework for the private sector (US\$11 million equivalent IDA)

21. The subcomponent will address institutional and regulatory gaps that hinder business growth, efficiency, and competition as well as market access, particularly for MSMEs and women-owned businesses. Building upon the legal



and regulatory reforms initiated under SCALED-UP, this subcomponent will support the Ministry of Commerce and Industry (MoCI) to introduce new laws and regulations as well as review procedures to streamline the business licensing and registration process. It will also harmonize, upgrade, and raise awareness of the online business registration and licensing system, known as the SBRS, across federal institutions and FMS, both at the regional and municipal levels. Overall, these reforms reduce administrative barriers, simplify procedures, expand the SBRS coverage, and make registration more accessible, increasing the number of formally registered firms. These improvements are critical to help firms unlock access to finance, improve business development support, and strengthen risk mitigation mechanisms, among others. This subcomponent will also support activities aiming at facilitating the registration of women-owned businesses particularly through the interventions focused on micro and small business-related reforms as well as awareness raising. Women-owned businesses in Somalia are often informal and have limited growth opportunities as a result. Additionally, the subcomponent will build strategic capacity for private sector development by fostering effective public-private cooperation to drive reforms. Finally, by aligning business regulatory reforms with trade-related legal, regulatory, and capacity-building measures, the project will enhance competitiveness by connecting value chains and improving market access through Somalia's integration into regional and global markets. Such support may encompass activities to enable full integration within the East African Community (EAC), as well as accession to the African Continental Free Trade Area and the World Trade Organization. This would expand opportunities for businesses, contribute to their resilience and reinforce Somalia's participations in regional, continental, and international trade.

Subcomponent 1.2: Enhancing the Somali ID System (US\$25 million, of which US\$21 million equivalent IDA and US\$4 million SMPF)

22. **This subcomponent will build on and scale up ongoing activities supported under SCALED-UP to further strengthen Somalia's foundational digital ID system.**¹⁹ The ID system can serve as a true enabler for economic opportunities and innovation in the private sector—facilitating the opening of bank accounts, accessing credit, introducing digital financial services, promoting business registration, and making available verifiable educational credentials. For this to happen, more people need to be registered in the system and more service providers need to be on-boarded to use digital ID verification options offered by the ID system. To this end, the project will help provide an additional 5 million people with unique and digitally verifiable IDs nationwide, free of charge, with a special focus on reaching women beneficiaries to close the identification gender gap (in February 2025, 27 women were registered out of a hundred, as compared to 73 men). It will also support maximizing the use of the ID for inclusive and efficient service delivery in the private and public sectors, including to enable rapid response to climate shocks. The project will achieve these objectives by financing the following:

- **Registration scale-up.** Logistics expenditures and operational support necessary to expand ID registration across Somalia, including temporary registration staff, equipment purchase, large-scale outreach and communication campaigns, and the issuance of five million additional ID cards, as well as the continued deployment of effective customer feedback and grievance redress mechanisms (GRMs). Targeted interventions will support greater enrollment among vulnerable segments of the population (including women, internally displaced people, and rural communities), building on the lessons learned from the initial registration approach.
- **Identity management system update and maintenance.** An assessment of and, where required, updating of the current identity management system, including for more effective de-duplication, enhanced data hosting, and the development and/or integration of new modules, to enable more people-centric and secure identity management.²⁰

¹⁹ The necessary legal and regulatory framework has been developed, and an inclusive implementation strategy has been elaborated, along with the building of core capacity for the National Identification and Registration Authority (NIRA) and equipping of several registration centers (including mobile registration units) through SCALED-UP support.

²⁰ Including iris as an additional biometric modality may be considered if initial assessment supports its operational feasibility and cost-effectiveness is clarified in the Somali context.



- **Integration of the ID with high-impact services.** Continued development of digital identity verification services and hands-on integration for high-impact services (such as telecommunications, banking [to enable electronic-Know Your Customer (e-KYC)] and passport services) as well as for the unified social registry/social protection programs (to ensure transparency and minimize leakages) with the objective of promoting efficiency and accountability in service delivery. The integration of the digital ID with the unified social registry and social protection programs will, among others, improve the FGS's ability to better coordinate and expand social assistance programs, including to address the impacts of climate change.²¹ The project will also support the FGS to achieve mutual recognition and interoperability of Somalia's national ID within the EAC and with other national IDs within the community, including to leverage Somalia's ID as a form of travel document within East Africa and facilitate Somalis' ability to conduct business abroad, thus enhancing mobility, facilitating cross-border trade, and contributing to regional integration.
- **Institutional development and capacity building for the National Identification and Registration Authority (NIRA).** Continued enhancements of policy and regulatory frameworks to support the inclusive and trusted registration and identity management, capacity-building support to NIRA, and local and international stakeholder engagement to build trust in and broad-based support for the ID system's implementation.

23. **The scale-up of the foundational digital ID system via SPRING Project will be implemented in alignment with Somalia's digital guardrails, including the cybersecurity and data protection frameworks, institutions, and capabilities.** SCALED-UP has supported the creation of Somalia's data protection capabilities through the development of the Data Protection Law (adopted in March 2023), the creation of the Data Protection Authority (DPA) in 2024, and ongoing operationalization and capacity building of the DPA since then. It has also supported the strengthening of Somalia's cybersecurity capabilities, including through ongoing support for the establishment of the country's first Computer Security Incident Response Team and the development of the related legal framework. The World Bank is also providing support to the FGS for cybersecurity and data protection through the Eastern Africa Regional Digital Integration Project (P176181) to strengthen local capacity to detect, respond to, and mitigate evolving cyber threats and cybercrimes; support the implementation of the forthcoming cybersecurity legal and strategic frameworks; and enhance operationalization of the DPA.

Component 2: Deepening financial sector reforms and strengthening institutional capacity (US\$37.5 million, of which US\$31.5 million equivalent IDA and US\$6 million SMPF)

24. This component will focus on strengthening financial sector stability, integrity, and infrastructure, as well as institutional capacity building to promote resilient private sector development and facilitate the economic transformation of the country.

Subcomponent 2.1: Operational and capacity-building support to Gargaara (US\$6 million, of which US\$4 million equivalent IDA and US\$2 million SMPF)

25. This subcomponent will address the key remaining capacity gaps at Gargaara building on activities supported through SCALED-UP. Specifically the project will: (a) continue supporting Gargaara in completing the remaining institutional-building steps toward achieving full operationalization of core functions, including enhanced appraisals of participating financial institutions (PFIs) and advanced monitoring and evaluation (M&E, including for institutional development plans of PFIs and expanded product offerings); (b) finance operating expenses for it to reach breakeven point in terms of revenues and expenses (expected by 2027–2028); and (c) continue non-lending support programs for participating banks and microfinance institutions (MFIs) to strengthen their institutional capabilities including targeted training to support lending and other services and to reinforce the gender-inclusive and climate-informed approaches.

²¹ This measure can be achieved by offering simplified identity verification during onboarding and improved targeting through better data on the age(s) and geographic distribution of potential beneficiaries, thus enabling the efficient delivery of shock-responsive cash transfers, especially for climate-change-related shocks.



The support to Gargaara will be closely coordinated with the BDS for SMEs and RSM program planned as part of the project under Component 3.

Subcomponent 2.2: Strengthening financial sector stability, integrity, and infrastructure (US\$31.5 million, of which US\$27.5 million equivalent IDA and US\$4 million SMPF)

26. This subcomponent will support the CBS, FRC, and BoS in strengthening the financial sector regulatory and supervisory framework and its enforcement, developing and implementing sector-specific policies, and building related institutional capacity and infrastructure.

- (a) **CBS (US\$25 million).** This subcomponent will support the CBS in carrying out a program of reforms which closely align with the CBS Strategy 2025–2029 and the Government’s approach to developing the financial sector and markets in Somalia. While some of the activities will be channeled through input-based Investment Project Financing (IPF), others are structured to be disbursed conditionally upon achievement of PBCs as provided in Table 2.

(i) *Strengthening financial sector oversight and policy implementation (US\$14 million)*

- A. **Regulatory framework strengthening (US\$3 million).** Several critical financial sector laws and/or amendments to existing laws are expected to be enacted in 2025. (1) The Financial Institutions law (new), Insurance law (new), and the Anti-Money Laundering/Countering the Financing of Terrorism (AML/CFT) (amendments) law have already been approved by the Parliament. (2) The NPS (new) and Central Bank (amendments) laws are also in late stages of clearance and expected to be enacted. The project will support the CBS in upgrading and strengthening the related implementing guidelines and regulations, including for the Targeted Financial Sanctions Act.
- B. **Framework for depositor and consumer protection (US\$1 million).** Development of legal, regulatory, and institutional frameworks for depositor protection and consumer protection will also be supported.
- C. **Enhancing supervision capacity and market development framework (US\$4 million).** The project will support strengthening of supervision of the financial sector and build CBS enforcement capacity. It will support the development and implementation of frameworks and policies for financial market stability, depth, and intermediation including through support for the development and implementation of the financial sector roadmap, a framework for climate finance for financial institutions and related financial products and services, and a financial inclusion strategy, with focus on enhancing access to affordable and secure financial services (including digital) for underserved and unbanked populations as well as attention to gender.
- D. **CBS institutional capacity (US\$6 million).** CBS will enhance the economic advisory function through strengthening capabilities for related data collection and policy development. Capacity for foreign exchange reserves management and efficient and secure future currency management operations will be supported to enhance market operations. In particular, institutional capacity development support is envisaged to strengthen coordination with FMS for more effective oversight and enhanced implementation of financial sector reforms to promote a harmonized, stable, and inclusive financial sector across Somalia. In this regard, support will be provided to State Bank of Puntland to improve its institutional efficiency and capacity, as well as support financial inclusion efforts toward enhancing economic empowerment for people of Puntland and, thus, contributing to its and Somalia’s economic development.

(ii) *Select financial sector and institutional reforms (US\$6 million)*

- A PBC-linked approach will also be used to incentivize selected financial sector and institutional reforms. Going beyond input-based investments and toward outcomes, the PBCs will be critical in accelerating these reforms, including: (A) strengthening Somalia’s macroprudential framework; (B) improving financial sector data collection, analysis, and transparency; (C) expanding oversight over the financial system; (D) establishing



effective regulations and institutional practices for consolidated supervision of banks and non-bank financial institutions; and (E) incentivizing the development, approval, launch, and utilization of a Credit Information System (CIS).

Table 2. CBS PBCs

PBC	Completion Verification/Evidence	Amount (US\$, million)
PBC 1: Macroprudential framework strengthened	Macroprudential framework to monitor, assess, and mitigate systemic risks approved by the CBS board and implementation plan operationalized	0.75
PBC 2: Financial sector data collection, analysis and transparency improved	(a) Consolidated Financial Soundness Indicator (FSI) data is published on the CBS website, with an expanded International Monetary Fund (IMF) FSI data coverage (including all licensed banks), and (b) consolidated FSI data is published on the CBS website, with expanded IMF FSI data coverage (including all licensed banks and other licensed financial institutions).	1.00
PBC 3: Expanded oversight of financial system	(a) Regulation issued by CBS on Safeguarding of Mobile Money Funds, (b) regulation issued by CBS relating to Savings and Credit Cooperative Societies (SACCOs), (c) at least 5 MFIs and 1 SACCO licensed by CBS, and (d) regular offsite supervision for all licensed MFIs and SACCOs conducted and onsite examinations completed for at least 2 MFIs and 1 SACCO.	1.25
PBC 4: Consolidated supervision of banks and non-bank financial institutions	(a) Regulation to undertake consolidated supervision and financial reporting of financial groups is issued by the CBS, (b) CBS has completed consolidated supervision of at least 1 financial group (comprising 1 of the 4 largest banks in terms of total assets at the end of previous calendar year), and (c) CBS has completed consolidated supervision of at least 2 additional financial groups (comprising at least 1 additional bank from the 4 largest banks in terms of total assets at the end of previous calendar year).	2.00
PBC 5: Improved access to financial services through better risk assessment of borrowers	(a) CIS framework developed and approved by the CBS Board, (b) CIS launched with at least 4 banks connected and contributing to data collection, and (c) CIS being used by at least 4 banks contributing and accessing credit information consistently over 3 months.	1.00

Note: Details on PBCs and the Verification Protocol are provided in annex 1 on the Results Framework. The first table (A1) in annex 2 contains a summary of the CBS program (including eligible expenditures for PBCs).

(iii) *Enhancement of financial infrastructure (US\$5 million)*

- Building on the support under SCALED-UP and in line with the NPS Law (expected in 2025), this subcomponent will continue to enhance the safety, security, soundness, and resilience of the payment system and strengthen related oversight. Specifically, payment cost efficiency will be improved while increasing speed and maintaining security by supporting CBS to fully operationalize the Somalia Payment Switch, including the Somalia Instant Payment System (SIPS) that will enable banks to connect their automated teller machines and point-of-sale terminals to a single national network, making card payments interoperable and enabling the implementation of the international bank account number and quick response code initiatives. The support will also include enhancements to the oversight of the financial market infrastructure and related capacity; strengthen and streamline the governance and operational framework for NPS to ensure efficiency and interoperability; and support policies, practices, and procedures to promote resilient payment and settlement systems and services.

- (b) **FRC (US\$3 million).** The project will continue to support the implementation of the NRA action plan (including any updates to the NRA itself) as well as provide support for the implementation of the amended AML/CFT Law. Support is also envisaged for the preparation and eventual implementation of National Terrorist Financing Risk Assessment



Action Plan, AML/CFT awareness strategy, and go-AML (Anti-Money Laundering System) customization, as well as upgrades/enhancements to disaster recovery and secondary data systems. The project will also support FRC in preparing for the Middle East and North Africa Financial Action Task Force mutual evaluation and related technical reviews and follow-up actions. Support is also envisaged for enhancing FRC operational and oversight capacities including through upgrading related ICT systems and expanding outreach to FMS.

- (c) **BoS (US\$3.5 million).** The project will support the BoS in its efforts to enhance financial services and strengthen the financial sector in Somaliland to be able to contribute to the broader economic development goals for the region. It will support its efforts to improve financial inclusion and access to finance for MSMEs through the implementation of the Somaliland Financial Inclusion Strategy 2025–2029 with focus on increasing access to formal financial services, developing new products aligned with emerging market needs, and empowering individuals and entrepreneurs through enhanced financial literacy and consumer protection. The project will also support the modernization and strengthening of BoS capacity to guide and oversee financial sector development and financial institutions operating in Somaliland, including through enhancements to the BoS financial infrastructure that would, among other things, strengthen data exchange and cooperation with the initiatives led by the CBS, strengthen broader financial market infrastructure, and improve integrated monitoring of the financial system. The project's funds will also cover all BoS support associated with project implementation costs.

Component 3: Enhancing access to finance and resilience for MSMEs (US\$25.5 million equivalent IDA)

27. Access to finance is a major constraint for Somali businesses, which SCALED-UP and development partners, such as the *Kreditanstalt für Wiederaufbau* (KfW), are attempting to address through Gargaara for productive and priority sectors such as renewable energy, health, and education. However, due to the perceived and actual risks associated with the firms in productive and climate-critical and vulnerable sectors, MSMEs within these sectors are receiving a minimal proportion of credits through the formal financial sector, despite improvements made through Gargaara's wholesale lending program. This component consists of mutually reinforcing interventions to improve the resilience of MSMEs in those key priority sectors, through credit enhancements and capacity strengthening of MSMEs to improve their efficiency and competitiveness.

Subcomponent 3.1: Derisking access to finance for MSMEs (US\$14.5 million equivalent IDA)

28. Learning from the pilot RSM being launched with Gargaara under SCALED-UP, the project will enhance the design and scale up the RSM support by US\$12.5 million to improve access to finance for MSMEs in high-priority underserved productive sectors (for example, agriculture, livestock, and fisheries) as well as climate-critical and/or vulnerable sectors. Often, these segments face challenges of collateral and/or finding a guarantor (for example, due to limited appetite to support sectors directly vulnerable to climate shocks and due to lack of understanding of climate-adaptive products and technologies). The RSM would help derisk shortfall in collateral and guarantor requirements and mobilize US\$29 million in commercial financing to key value chain MSMEs by PFIs. Key elements of the RSM include the following:

- **Operational model.** Given the nascent stage of development of the Somali finance sector, the RSM is unlikely to reach independent sustainability in the short term (given limited fee income and no investment earning options even if capital was deployed) and could thus be operated by Gargaara for a fixed period with a clearly articulated exit plan for winding down the RSM. A clearly defined credit enhancement and derisking purpose will also be detailed for the targeted MSME segments. In designing this approach, building on lessons from the SCALED-UP RSM pilot, efforts will be made to ensure a reasonable operational period for the program, along with a clear exit plan to avoid market disruption. Firms in productive and climate-critical and vulnerable sectors account for the largest share of employment in Somalia. Under SCALED-UP RSM pilot, financing did not reach them in levels reflecting their share of the overall economy, due to a high-risk perception associated with them. The financing gap prevalent in Somalia thus affects them more significantly than other firms. The focus on vulnerable firms and



women-owned enterprises that face similar challenges complements SCALED-UP RSM pilot and would attempt to lessen these financing gaps.

- **Eligibility.** The RSM will cover a portion of losses for eligible MSME loans originated by PFIs assessed under clear eligibility criteria to participate in the RSM similar to those already in place under the Gargaara program.
- **Sector focus.** The RSM will target MSMEs that operate or are linked to productive and climate-critical and vulnerable sectors, especially those in agriculture, livestock, and fisheries. Women-owned enterprises, which are generally more vulnerable, will also be priority targets. To this end, the RSM will offer greater coverage to women-owned/managed businesses to incentivize lending to them. Similar consideration may also be given to other higher-priority segments when finalizing the details of the program in consultation with the key stakeholders.
- **Fees.** The RSM will charge a notional service fee aligned with Somalia's Islamic banking practices.

29. The RSM fund will be complemented with funding (US\$2 million) for enhancement and confirmation of RSM model/design, related operations support, and market research. It will also support financial institutions and related stakeholders in strengthening related capabilities, including new products and services development and related awareness raising and outreach and capacity building for key participating institutions and stakeholders. This support is anticipated to be delivered in coordination with the CBS and financial institutions (both public and private and the relevant industry associations). This will re-enforce prior capacity building undertaken related to product development, risk assessment, and portfolio management capabilities.

Subcomponent 3.2: Enhancing MSMEs' resilience (US\$11 million equivalent IDA)

30. The subcomponent will aim to bolster firms' resilience by providing BDS and targeted adaptation interventions to two types of stakeholders: (a) MSMEs from the roster of firms that have already completed the standardized training and advisory services provided under SCALED-UP or other relevant programs; and (b) productive and climate-critical and vulnerable MSMEs as well as related cooperatives or associations that receive sector-specific technical assistance (TA) through other ongoing World Bank-financed or development partner projects. By enhancing firms' capacity to adapt to market-perceived and actual risks, these interventions will help safeguard business continuity and productivity, thereby protecting existing jobs and enabling the creation of new, more sustainable employment opportunities. BDS will be tailored to small sub-cohorts of both types of stakeholders. The mode(s) of delivery of BDS will be confirmed during implementation based on experience and lessons from the SCALED-UP supported BDS pilot to be launched in the second quarter of 2025. A voucher-based model may be considered to provide relevant training to interested and eligible MSMEs, and awareness-raising activities will be conducted to support the participation of women-owned businesses in the BDS program.

Component 4: Project Management (US\$6 million equivalent IDA)

31. **This component will support project implementation, which will be executed by the FGS using a single Project Implementation Unit (PIU) anchored in the MoF in Mogadishu, leveraging the existing SCALED-UP PIU.** The PIU will be responsible for day-to-day project management (including fiduciary procedures, M&E, and the implementation of Environmental and Social Framework [ESF] requirements) and will coordinate closely with the relevant entities supported under the project. The PIU will also coordinate activities across the FGS, including FMS. The project will set up a single Project Steering Committee (PSC) not later than 30 days after grant effectiveness. In addition, funding will be allocated to establish a project-level GRM, and resources will be dedicated to ensuring a gender-sensitive project implementation. Implementation arrangements for Somaliland are discussed in the project implementation section below.



E. Role of Partners

32. **Project implementation will be closely coordinated with development partners active in the private sector and financial sector development space to ensure financing, capacity building, and policy alignment.** SPRING Project interventions will be closely coordinated and aligned with the International Finance Cooperation (IFC) and Multilateral Investment Guarantee Agency activities aimed at improving the business environment and deepening financial sector reforms in Somalia. The financial sector support under Component 2 will focus on areas not covered by the recently launched African Development Bank-financed Somalia Financial Sector Development Project (P-SO-HZ0-001), which provides capacity building to key institutions including CBS and FRC, and the extensive IMF program in Somalia. Other activities, including the BDS, RSM, access to finance, and digital ID activities, will be coordinated with ongoing and planned support by the United Nations entities (including the United Nations Development Programme [UNDP] and United Nations Industrial Development Organization), national development agencies (for example, UK, USA, Sweden, and Germany), as well as a wider range of SMPF partners.

F. Lessons Learned and Reflected in the Project Design

33. **SPRING Project will draw extensively from key lessons learned in previous World Bank engagements in Somalia and other fragile contexts.**

34. **One of the central lessons that will be considered is the importance of long-term state-building and institutional capacity development, while balancing it with immediate crisis response.** In fragile states such as Somalia, where low institutional capacity poses significant challenges, progress is often nonlinear, particularly in establishing new public institutions. Developing functional capabilities and ensuring adequate corporate governance for these institutions is especially complex, as seen during the implementation of SCALED-UP, which required extensive TA and enhanced supervision, including third-party monitoring, for entities such as Gargaara, National Communication Authority, DPA, and NIRA. To address these challenges, the project will prioritize strengthening critical institutions such as the MoF and the CBS to ensure fiscal sustainability and macroeconomic stability and continue capacity-building activities at other core entities for private sector development in Somalia, including Gargaara and PFIs, while also focusing on targeted TA for effective establishment of new institutions. Given Somalia's limited fiscal capacity, it will be essential to carefully manage new budgetary commitments as institutional sustainability has proved to be a challenge for other new institutions supported by the World Bank-financed projects.

35. **A phased and iterative implementation approach will be applied to the project implementation.** Comprehensive reforms are difficult to achieve all at once in fragile environments, so the project will adopt a step-by-step approach. This method ensures the flexibility needed to adapt to Somalia's changing security and economic conditions, while enabling the project to adjust based on real-time assessments. This approach mirrors the phased implementation strategies seen in successful projects such as the SCRP and Somalia - Water for Agro-Pastoral Productivity and Resilience (P167826) Project. At the same time, fragile contexts require balancing immediate crisis response with long-term institution building. Flexibility is critical, as Somalia faces regular crises such as droughts, floods, and security disruptions. The project will leverage existing delivery mechanisms to respond to crises without sacrificing the long-term goal of strengthening institutional capacity.

36. **Substantial coordination and outreach efforts are required to ensure national projects such as SPRING Project to reach beneficiaries across Somalia, including underserved segments of the population.** One of the primary lessons learned from SCALED-UP is that substantial coordination and outreach are critical to ensure national projects effectively reach beneficiaries across Somalia. Successful implementation, such as extending the SBRS and CBS operations to FMS and rolling out the digital ID system, require strengthened collaboration between the FGS and FMS. The SPRING Project will finance enhanced coordination and outreach efforts, including targeted support for financial sector development in



Somaliland. SCALED-UP and other World Bank-financed projects in Somalia have also shown that enhanced and tailored efforts are needed to reach women beneficiaries in the areas of access to finance, business registration, and ID registration activities.

37. **The inclusion of BDS alongside financial support draws on lessons learned from projects such as SCALED-UP, Zambia Agribusiness and Trade Project (P156492), and the Afghanistan Resilience Trust Fund (ARTF) - Microfinance (P091264) Project.** In fragile states, MSMEs often struggle with multiple constraints—limited access to finance, weak market links, and operational inefficiencies. By integrating tailored BDS with financial support, the project will help MSMEs overcome these barriers, particularly in high-potential sectors such as energy, agriculture, and livestock. Furthermore, the project incorporates climate-smart practices, leveraging lessons from the Yemen Emergency Electricity Access Project (P163777) and Indonesia Infrastructure Guarantee Fund Project (P118916) to improve MSMEs' resilience to climate-related shocks, a key issue in Somalia.

38. **The design of the project's digital ID component draws extensively from the World Bank's Identification for Development program and global best practices.** There is strong commitment from NIRA and the FGS to align the ID system with the 10 Principles on Identification for Sustainable Development, ensuring that it is inclusive, secure, and responsive to user needs. The ID legislation and ID implementation strategy, developed in consultation with the FMS and other stakeholders, provide for an inclusive registration approach, including witness-based identity verification for those without any prior official documents and free-of-charge registration for those without the ability to pay. Special registration policies and measures are being developed to facilitate registration for women and people with disabilities. NIRA is implementing a customer feedback mechanism and additional system updates to streamline the registration process.

39. **PBCs can be an effective tool incentivizing financial sector reforms, but pragmatic and context-adjusted prioritization of PBCs is crucial.** PBCs played an important role in incentivizing financial sector reforms under SCALED-UP. However, PBCs still remain a relatively new instrument for the Somali counterparts, and the PBC design complexity under SCALED-UP has resulted in some implementation delays. It has also become evident that aligning PBCs with activities directly under the control of the implementing entities responsible for their fulfillment is essential. Furthermore, hiring of an independent verification agent (IVA) to verify the completion of PBCs has experienced delays in developing the terms of reference, issues in coordinating verifications with the client, and difficulties in renewing/extending contracts. Leveraging these lessons learned from SCALED-UP, extensive consultations were conducted with the CBS to adjust the scope of the PBCs and agree on timelines. The client now has experience managing the IVA contract and coordinating verification visits when appropriate, which is expected to smoothen the implementation of PBCs.

40. **Risk mitigation is a central theme throughout the project design.** Fragile environments such as Somalia's require a cautious, phased approach to project implementation. Ensuring transparency and accountability is also crucial. The project will implement strict procurement and financial governance protocols, alongside independent audits and third-party verification mechanisms, ensuring that funds are managed responsibly, as was emphasized in SCALED-UP. Leveraging World Bank Hands-on Expanded Implementation Support, bundling procurements, and building PIU's procurement capacity have also been proven to be effective in managing procurement-related risks, as evidenced through SCALED-UP and other World Bank-financed projects in Somalia.

III. PROJECT IMPLEMENTATION

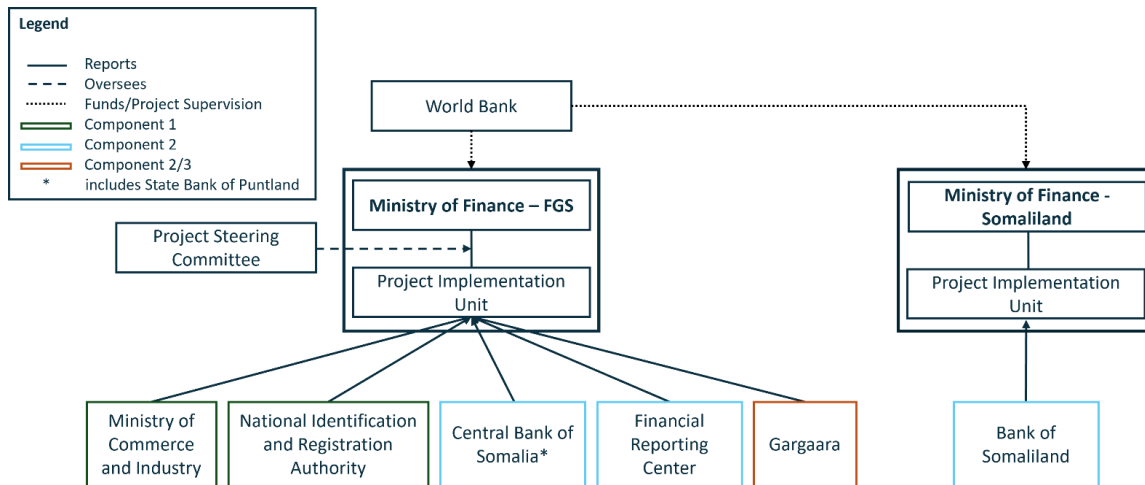
A. Institutional and Implementation Arrangements

41. **The project will establish a layered and inclusive oversight structure to ensure effective coordination among key government stakeholders.** The MoF will serve as the implementing agency coordinating with other government



entities relevant for project implementation. A single PSC, chaired by the MoF and including representatives from MoCI, CBS, FRC, NIRA, and other stakeholders, will be formed to provide policy guidance and monitor progress. The PSC will be supported by a Secretariat led by the Director General of the MoF, ensuring smooth project oversight.

Figure 2. SPRING Project Implementation Arrangements



42. **Day-to-day implementation will be managed by a PIU housed within the MoF.** The SCALED-UP PIU, established under the MoF, has demonstrated satisfactory performance and possesses substantial experience with World Bank-financed projects. This PIU will take on the additional responsibility of managing SPRING Project and work closely with focal points in key ministries, departments, and agencies (MDAs) to ensure that project activities are implemented effectively, with attention to sequencing, stakeholder consultations, and engagement processes. The existing PIU's familiarity with World Bank fiduciary and ESF guidelines, along with its robust management information systems (MIS) and M&E systems, will contribute to efficient execution of project activities. By leveraging these systems, the PIU will ensure smooth coordination across the FGS and FMS. To facilitate readiness for implementation, the PIU will assist MDAs and other institutions in setting up the required structures. The PIU's responsibilities include providing TA to MDAs in preparing priority investment programs, hiring consultants for specialized tasks, and ensuring that services delivered are both high quality and cost efficient. The PIU will also validate project results through stakeholder consultations and, where necessary, third-party verification. As a condition of grant effectiveness, a Project Operations Manual (POM), satisfactory to IDA, will be prepared and adopted. This POM will outline managerial, financial, administrative, procurement, environmental and social policies and procedures, providing a comprehensive guide for all project-related activities and ensuring that the project operates according to the required standards and guidelines.

43. **This integrated approach will enable consistent support across FMS, tailored to its readiness and institutional capacities.** In addition to ensuring alignment among the various MDAs involved in the project, the PIU will proactively manage communication with FMS stakeholders. This coordination will help ensure that all components of the project are implemented in a synchronized and efficient manner across all FMS.

44. **The PIU team includes a project coordinator, a procurement specialist, and other key staff whose performance has been satisfactory.** The capacity of the existing staff will be continually strengthened. Additionally, the PIU will recruit new staff members to address any emerging requirements and ensure the project's smooth progress.

45. **Implementation in Somaliland will be coordinated through a separate PIU.** This PIU is expected to be housed within the MoF of Somaliland and will be in charge of enabling the implementation of the activities supported by this project for the BoS. The External Assistance Fiduciary Section (EAFS) Unit, in consultation with the Office of Accountant



General and Director General of the MoF, will institute adequate controls in the management of funds allocated to Somaliland. A related subsidiary agreement will be prepared accordingly following project approval.

B. Results Monitoring, Evaluation, and Verification Arrangements

46. **M&E will play a central role in the project's implementation.** The PIU will prepare and submit Quarterly Progress Reports (QPRs) to the PSC and the World Bank, detailing project activities, financial disbursements, and compliance with environmental and social (E&S) standards. These QPRs will form the basis for biannual project reviews to ensure progress is on track and allow for timely adjustments if necessary. Independent third-party monitoring may also be leveraged to further strengthen oversight, identify governance issues, and recommend corrective actions as needed. To verify the completion of PBCs, a verification agency will be hired not later than nine months after grant effectiveness, under terms of reference satisfactory to IDA.

47. **The PIU's M&E team will manage the ongoing tracking and reporting of project results,** systematically collecting data and updating them in a centralized MIS to provide real-time access to critical project information. An M&E plan, developed by the PIU, will outline the Theory of Change, data collection methodologies, and a timeline for tracking outcomes, ensuring standardized indicators and data consistency across project components. For specific monitoring activities, such as those related to digital ID services, the FGS will assign oversight responsibilities to relevant autonomous entities. These entities will use tools (for example, satisfaction surveys and spot checks) to monitor service delivery and gather feedback. Surveys and progress assessments may also be conducted to track project activities, such as digital ID enrollment, job creation, and others.

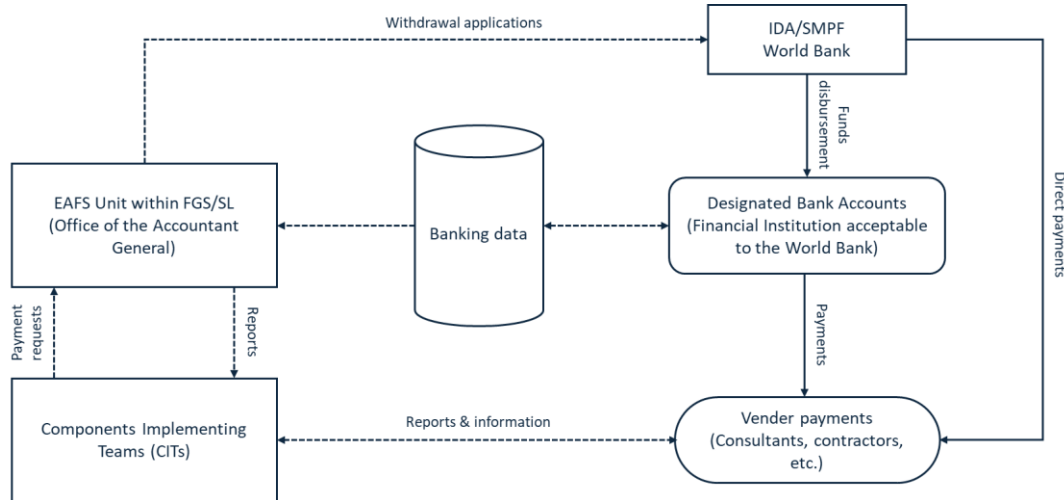
C. Disbursement Arrangements

48. **The project will follow the transaction-based method of disbursement, which will include advances, reimbursements, direct payments, and special commitments.** An initial advance will be disbursed to the Designated Account (DA) following the submission of a withdrawal application to the World Bank accompanied by a six-month cash forecast. Subsequently, the project will draw down the proceeds of the grant following submission of an application for withdrawal accompanied by statement of expenditures incurred. The respective MoF and other implementing agencies will manage these processes in accordance with the World Bank's procedures. Withdrawal applications will be submitted via Client Connection, and disbursements will be made based on verified eligible expenditures. For PBCs, funds will be released only after the achievement of specified outcomes and verification.

49. **The project proceeds from the IDA and SMPF will be channeled through three DAs, separately managed by the FGS and Somaliland.** *Under the FGS,* the DA-A will be used to manage the funds for all project components. *Under Somaliland authorities,* the DA-B will be used to manage the funds earmarked for Somaliland activities. All deposits and payments from these accounts will adhere to the provisions outlined in the Financing Agreement and Disbursement and Financial Information Letters (DFILs). Authorized signatories will be designated to ensure compliance with the World Bank disbursement procedures, and a GRM will be established to support transparent fund flows. Detailed disbursement arrangements will be documented in the DFIL. Typical funds flow arrangements are highlighted in Figure 3.



Figure 3. Flow of Funds



IV. PROJECT APPRAISAL SUMMARY

A. Technical, Economic and Financial Analysis

Economic and Financial Analysis

50. **A cost-benefit analysis has been conducted—and will continue to be refined—for activities with clearly attributable and quantifiable benefits at the individual beneficiary level (Component 3).** Under base case assumptions, the combined economic internal rate of return (EIRR) for these activities is 15.4 percent, and their net present value is US\$1.2 million, with a discount rate of 14 percent.²² Costs and benefits for Subcomponents 3.1 and 3.2 were estimated separately.

- Subcomponent 3.1 analysis.** The primary benefit of the RSM is the accessibility of capital to firms that were previously un-bankable, facilitated by improved access to credit enabled by the derisking through the RSM. Average interest rates and potential default rates are extrapolated from CBS data, and MSME yearly return over capital is determined based on academic research on the topic. Risk mitigation benefits are not included in this analysis, as they are assumed to be offset by potential costs associated with the default of loans covered under the RSM. Operational costs are estimated using historical data from similar RSM approaches implemented in Somalia.²³ Additional assumptions include a risk cover of 63 percent, leveraging at one time,²⁴ and a gradual increase in exposure. The expected turnover is 1.5 times over the five years in which the project will be under implementation. An average size of loans guaranteed of US\$25,000 is assumed based on lessons learned with Gargaara during the implementation of SCALED-UP. The capital will be returned after that period given the difficulties of creating a sustainable RSM in Somalia. Additionally, the analysis considers benefits from wages (less opportunity costs) of

²² The EIRR is calculated over a 20-year period, in line with standard practice. However, for Subcomponent 3.1 cash flows, the timeline is limited to the project duration due to uncertainty regarding the RSM facility's sustainability beyond project completion.

²³ RSM operational costs assumed are US\$250,000 per year. An expenditure of US\$600,000 per year for TA support to help financial institutions develop related capacities is also considered.

²⁴ Risk cover assumption strikes a balance between encouraging financial institutions to lend and mitigating moral hazard. While leverage assumptions are optimistic in an FCV country such as Somalia, it is supported by the substantial TA and capacity building which financial institutions are receiving from World Bank engagements in Somalia.



new incremental workers²⁵ directly employed by MSMEs due to the access to finance enabled by the RSM. Given the scarcity of economic data in Somalia, these benefits are calculated using MSME and cluster information from neighboring countries, which is then discounted to account for the FCV situation in Somalia.²⁶

- **Subcomponent 3.2 analysis.** Benefits are measured by evaluating the impact of enhancing the resilience of firms due to the BDS provided.²⁷ Specifically, the analysis considers the differential in profitability attributable to reductions of revenue caused by climate disasters that are mitigated due to improved capacity from BDS²⁸ and wages (less opportunity costs) of new incremental workers directly employed by MSMEs due to their increased capacity to be resilient.²⁹ Job generation assumptions are the same as those used for Subcomponent 3.1, and average salaries net of opportunity costs were extrapolated from consultations and relevant research papers. This approach ensures that economic gains directly linked to improved climate resilience are considered, highlighting both the stabilization of profits and the sustained ability to create and maintain jobs in the face of climate-related challenges.

51. **The project is expected to produce benefits beyond the above analysis by improving the enabling environment for private sector growth (Component 1).** Interventions that streamline registration procedures for MSMEs can significantly affect firm performance, and trade facilitation measures can have a substantial impact on export promotion. Aligning domestic standards with international regulations is also critical to avoiding diseconomies of scale and the ability to be competitive in local and global markets. Moreover, scaling up efforts to develop Somalia's foundational digital ID system is anticipated to create economic value by enabling more efficient service delivery for government agencies and businesses and accelerating financial inclusion. In effect, unique identifiers can facilitate the participation of vulnerable segments in the economy and support private sector growth by simplifying onboarding processes and reducing risks, ultimately fostering broader economic and social inclusion.

52. **The deepening of financial sector reforms and the enhancement of institutional capacity will also bring substantial benefits.** Strengthening the resilience of financial institutions will reduce the likelihood of macro-fiscal challenges being exacerbated by financial system stress. A well-functioning financial sector drives real economic activity and accelerates economic growth by facilitating the flow of capital to individuals and entrepreneurs through reliable financing channels, which has positive distributional effects. Preserving financial sector stability protects depositors' savings and ensures essential financial services for millions of low-income households, supporting broader economic stability and growth. Additionally, AML/CFT activities will prevent integrity failures from undermining financial institutions' stability and increase financial flows toward Somalia.³⁰ Strengthening foundational public financial institutions and financial infrastructure will also generate significant long-term economic benefits and savings for the FGS and the private sector—with payments infrastructure enhancements promoting financial inclusion, lowering transaction costs in informal markets, and reducing risks associated with cash-based transactions.

²⁵ This is considered in both the benefits and costs dimensions. Incremental profit after tax for firms is calculated based on the assumption of differential growth while maintaining the same earnings before interest and taxes (EBIT) structure. Additional salary costs are therefore included in this calculation. The additional benefit from incremental wages (less opportunity costs) does not represent an increase in salaries for existing workers but rather the difference between the wages that additional workers earn at these firms and what they would earn as informal workers.

²⁶ It is assumed that an additional unskilled job and an additional skilled job is generated for each US\$5,700 and US\$22,800, respectively, of revenue increase in the firms financed by the RSM.

²⁷ Average BDS cost of US\$4,750 assumed based on lessons learned from similar programs by development partners and in SCALED-UP.

²⁸ Given lessons learned from similar programs by development partners and in SCALED-UP, it was assumed that target MSMEs have an annual revenue of US\$4,000 with an EBIT margin of 30 percent and annual sales growth (without the project) of 5 percent. Income tax rate assumptions are in line with the Somalia tax rate for the tax bracket of the average MSME profile described.

²⁹ While the economic and financial analysis focuses only on the creation of direct jobs through activities under Subcomponent 3.2, each component could generate a wide range of indirect jobs. Given the scarcity of economic data in Somalia—including that of sectoral GDP and employment multipliers—a robust analysis in this front was not possible.

³⁰ IMF. 2023. "Background Paper II: AML/CFT Risk-Based Supervision of Banks."



Summary of the FIF Assessment

53. **The FIF Assessment shows that the project is in line with the World Bank Guidance for FIF.** The financial sector has matured over the past years, and demand remains strong for a range of Sharia-compliant financial services. However, there are significant challenges to expanding outreach and new products introduction. Macroeconomic stability is vulnerable to external shocks, which put a strain on the capacity of key financial institutions. Formal bank penetration remains low, with lending focused on nonproductive sectors. SCALED-UP has built a network of sound financial institutions to provide credit, and the SPRING Project will use this to promote a risk-sharing facility to expand outreach. The World Bank Sixteen Principles have been used to guide the development of the new facility, although time will be required to fully develop internal controls, risk management, and claim management. Additional discussions beyond this project will be needed to address challenges regarding the roles of the revived Somali Development and Reconstruction Bank and Gargaara.

Alignment with Corporate Commitments

54. **Integrating climate and development is a pillar of the WBG's Climate Change Action Plan.** In this respect, the project is aligned with the goals of the Paris Agreement (PA) on both mitigation and adaptation, contributing to Somalia's commitment to a low-emission, climate-resilient development pathway. By ratifying the Paris Climate Agreement, United Nations Framework Convention on Climate Change, and Kyoto Protocol, Somalia has shown dedication and obligation to the implementation of strategies to mitigate the effects of climate change and adopt a climate-resilient, sustainable development pathway. Project interventions fall under universally recognized activities consistent with the Paris Agreement's adaptation and mitigation objectives and Somalia's Nationally Determined Contribution 2021–2030, which includes an ambitious target to reduce emissions by 30 percent by 2030, conditional on international support.³¹ PA will be ensured through transaction-based assessments, with all activities—not just climate-related ones—meeting PA standards.

55. **The mitigation risks are reduced to a low level.** Somalia's CO₂ emissions are, with 0.05 tons per capita, the third lowest in the world, and its potential to meaningfully contribute to mitigate climate change is thus very low. Despite this, increasing access to finance is unlikely to increase CO₂ emissions significantly. The modalities of the project's implementation are expected to increase the climate change mitigation capacity of Somalia. Implementing agencies, including Gargaara, will receive training to ensure the expertise required for PA. The project's dedicated PIU will include focal points for E&S aspects as well as climate change, and a member of the PSC will oversee compliance with PA standards. With these measures, the project is aligned with the Common Principles for Climate Mitigation Finance Tracking, specifically through building capacity in the M&E mechanisms to track, evaluate, and report on the management of climate-related risks. This ensures that the project remains aligned with the goals of the Paris Agreement and the Common Principles for Climate Mitigation Finance Tracking throughout its implementation and that it reduces mitigation risks to a low level.

56. **The adaptation risks are reduced to an acceptable level.** Overall, the main adaptation risks for Somalia stem from droughts, floods, and extreme weather events. With a non-infrastructure-based approach, the project minimizes geophysical risks while maximizing systemic resilience-building, reducing the adaptation risk. By leveraging a foundational ID system, the project enables targeted social protection measures to cushion climate-related shocks, expand access to financial services, and foster resilience to climate impacts and contribute to climate co-benefits. These efforts are particularly crucial in a country facing recurrent droughts and floods that drive internal displacement and threaten economic stability, which may be exacerbated by climate change.³² Since 2020, Somalia has experienced five consecutive failed rainy seasons, adversely affecting 46 percent of the population, displacing over a million people, and causing an estimated 46,000 deaths in 2022 alone. Major floods and droughts are extremely frequent and are the largest cause of

³¹ Federal Government of Somalia, "Updated Nationally Determined Contribution (NDC)", July 2021.

³² Somalia Climate Risk Review, World Bank Group, 2023.



Somalia's ever-increasing internal displacement crisis.³³ Further, the project is screened for climate and disaster risk. Screening for climate and disaster risks ensures alignment with Somalia's broader climate and development priorities. By enabling inclusive growth, lowering transaction costs, and facilitating efficient resource allocation, the project strengthens Somalia's institutional capacity to navigate climate-related risks and adapt to them. These efforts complement the country's economic and technical frameworks, fostering sustainable and climate-resilient development. To ensure effective implementation and reduction of adaptation risks, robust checks and balances are integrated into the project's implementation arrangements.

57. **Gender.** Gender inequality remains an entrenched issue in Somalia. The country has high levels of inequality, ranking 164/166 on the UNDP Gender Inequality Index, and scores low on UNDP's Gender Development Index (0.769/1.100).³⁴ In addition, in 2024, Somalia scored 32.5/100 on the legal component of the World Bank's Women, Business, and the Law Index, highlighting the significant gaps in the legal/regulatory frameworks to support women. Women also continue to be excluded from economic activities. As of 2023, women's labor force participation stood at 21.2 percent, compared to 47.3 percent for men, well below regional, income group, and global benchmarks. The SPRING Project will address gender gaps by supporting women's economic empowerment through several themes, such as: (a) access to formal registration of businesses, (b) access to identification, (c) access to finance, and (d) vulnerability to shocks.

58. **Women and women-owned/managed businesses face a wide range of challenges that hamper their economic empowerment.** For instance, most women-owned businesses are informal, which restricts their ability to access services to support their growth, such as formal finance. Several factors can explain this situation, including the fact that the framework for business registration does not adequately cover them due to their small size. Access to identification for women is also an issue, with only 27 percent of women registered in the recently launched digital ID system. The gap in access to identification can be explained by structural barriers, traditional gender roles, and clan-based customs.³⁵ In addition, access to finance is also a roadblock as recent studies found that 87 percent of majority female-owned firms faced credit constraints. Several demand- and supply-side constraints contribute to this issue, including limited access to collateral, business formal documents, and guarantors, among others. Lastly, women-owned businesses are predominant in the agriculture and livestock sectors, rendering them particularly vulnerable to shocks, specifically climate-related ones.

59. **The SPRING Project will include several activities to address those gender gaps.** Specifically, the project will improve business registration processes by simplifying requirements, broadening registration categories, and undertaking related policy and administrative reforms to include micro-enterprises. The SPRING Project will also expand the footprint for the digital ID registration and may consider other approaches, such as all-female registration units. In addition, the project will facilitate access to finance by providing higher coverage to women-owned/managed businesses through the RSM. It will also use various strategies to enable the uptake of BDS by women-owned/managed businesses to improve their ability to access finance and/or enhance their resilience. Additional cross-themes efforts will be organized, such as tailored information campaigns, workshops, and establishing partnerships with local civil society organizations. The results framework includes indicators to monitor progress, such as the number of women with digitally verifiable identification (target: 2,500,000). The gender analysis results chain is available in the second table (A2) in annex 2.

60. **Citizen engagement (CE)** and social accountability will be promoted throughout the project cycle. In accordance with the World Bank's ESF, an Environmental and Social Review Summary (ESRS), an Environmental and Social Commitment Plan (ESCP), and a Stakeholder Engagement Plan (SEP) have been prepared and disclosed. They identify project stakeholders, means to ensure effective project communication, consultations with each stakeholder group, and indicators to monitor its implementation. CE will be measured by assessing the ability of select institutions to address

³³ Somalia Climate Risk Review, World Bank Group, 2023.

³⁴ United Nations Development Programme, "Somalia: Gender Inequality Index." (accessed February 2025); United Nations Development Programme, "Somali: Gender Development Index" (accessed February 2025).

³⁵ Syn, Juliette, and Laura Cunial. 2022. "Who Are You? Understanding the Linkages between Legal Identity and Housing, Land and Property Rights in Somalia." Norwegian Refugee Council.



beneficiaries' requests for support and/or concerns. After a customer support request and/or grievance is resolved, the feedback will be analyzed to identify areas for improvement, and efforts will be undertaken to conduct related upgrades to systems and processes, thus enhancing project implementation. Those efforts will also include communicating upgrades made to systems and processes to stakeholders based on internal reviews or their feedback.

61. **Maximizing Finance for Development (MFD)/Private Capital Enabling (PCE).** The project is also aligned with the WBG's corporate objectives for MFD and has been tagged as PCE/MFD-enabling. In particular, Subcomponent 3.1 is expected to enable US\$29 million in commercial financing to underserved MSMEs in key value chains, through the establishment of an RSM with a coverage of 60 percent and a turnover of 150 percent. Progress for this activity is captured under Intermediate Results Indicator 17, which measures the amount of private capital enabled through the RSM. Most activities in the project are also verified as MFD-enabling. More specifically, (a) Subcomponent 1.1 supports upstream policy reforms to unlock private sector solutions through the removal of market distortions, (b) Subcomponent 1.2 will enable additional access to finance through the continued development of digital identity verification services (for example, e-KYC), and (c) Subcomponents 2.2 and 3.2 will address binding constraints for sustainable private sector development through their interventions to strengthen financial sector stability/integrity and infrastructure and to improve firm resilience.

B. Fiduciary

62. **Procurement.** Procurement will be carried out in accordance with the World Bank's Procurement Regulations for IPF Borrowers, dated September 2023 (Procurement Regulations); the Guidelines on Preventing and Combating Fraud and Corruption in Projects Financed by International Bank for Reconstruction and Development (IBRD) Loans and IDA Credits and Grants, dated October 15, 2006 and revised in January 2011 and as of July 1, 2016; and the provisions stipulated in the Financing Agreement. The PIU will ensure smooth procurement coordination across Somalia. The MoF prepared the Project Procurement Strategy for Development (PPSD) along with the Procurement Plan (PP) for the first 18 months of the project, with a focus on key procurement activities to select the optimum fit-for-purpose method and market approach. The PPCSD includes a summary on procurement risk, mitigation measures, an action plan, and procurement implementation support and supervision plan (Contract Management Plan). The World Bank Systematic Tracking of Exchanges in Procurement (STEP) tool will be used to prepare, clear, and update PPs and conduct all procurement transactions for the implementing agency of the project. Staff of the SCALED-UP PIU, who will take on the additional responsibility for SPRING Project, are already trained in using the STEP tool.

63. **Financial management (FM).** The country's Public Financial Management (PFM) legal framework is weak and fragmented. The PFM accountability systems, supporting processes, and intergovernmental fiscal relations and mechanisms between the FGS and FMS in the country are evolving and currently being supported through other World Bank-funded operations. The project will retain a qualified FM specialist at the PIU supported by the team from the EAFS in the Office of the Accountant General. Payment processing will be made through the Somali Financial Management Information System, and periodic financial reports will be generated. The project will submit quarterly unaudited interim financial reports (IFRs) to the World Bank within 45 days after the end of the quarter in line with the Financing Agreement. The main fiduciary risks that are likely to affect the project include challenges of inadequate capacity, risk of delayed and inaccurate financial and audit reports, and the risk of potential diversion of project resources. There are also wider portfolio risks including AML/CFT risks and limited access to project sites. These risks will be mitigated through a series of integrated approaches including strong collaboration with the EAFS and Office of the Accountant General to address inadequate capacity at the PIU and ensure the timely submission of accurate IFRs to the World Bank. Ongoing capacity support to the Office of the Auditor General (OAG) through engagement of a private audit firm to support the audit of World Bank-financed projects in the portfolio will continue. The project will provide support for the implementation of the amended AML/CFT Law (expected in 2025) to address AML/CFT risks. Fiduciary oversight will be enhanced through regular internal audits conducted by the internal audit function in the MoF and annual external audits conducted by the OAG with TA from a contracted private audit firm. The residual FM risk is therefore considered Substantial.



C. Environmental, Social and Legal Operational Policies

Legal Operational Policies	Triggered?
Projects on International Waterways OP 7.50	No
Projects in Disputed Area OP 7.60	No

64. The main risks and impacts are associated with ID registration activities (Subcomponent 1.2), which will build on ongoing activities for the development of the foundational digital ID system in Somalia, and the financial services to be provided to MSMEs (Subcomponent 3.1). Environmental risk and impact are considered Moderate with construction or rehabilitation works foreseen. Activities associated with environmental risks relate to data privacy, cybersecurity, and the disposal of e-waste, including obsolete electronic devices used in activities like ID registration and payment systems. There are also contextual occupational health and safety (OHS) risks to workers and the community during ID registration exercises under Component 1. Potential risks include those under the risk-sharing platform if projects with environmental footprints receive support, and potential downstream environmental and social risks associated with type 2 and 3 technical assistance (TA) activities under Component 1, which address regulatory and policy constraints. The social risk is considered Substantial. The main risks include: (a) potential exclusion of disadvantaged and vulnerable groups in ID registration services, financial product services, and training and capacity-building activities; (b) labor risks including OHS and security risks, sexual harassment, and other forms of gender-based violence (GBV) that may occur during ID registration activities and capacity-building activities, when seeking financial services, and during interaction of ministry employees with contractors; (c) possible elite capture of project benefits; and (d) contextual FCV operational environment that will potentially limit effective CE and trusted GRM and might exclude the hard-to-serve community members (such as minorities, people with disabilities, widows, internally displaced persons, and pastoralists). The instruments prepared include the ESCP which was disclosed on the World Bank external website on March 23, 2025, and the SEP which was disclosed on the World Bank external website on March 4, 2025. On the government side, the ESCP was disclosed in-country on March 22, 2025, while the SEP was disclosed in-country on March 11, 2025. Stakeholder consultations were held in-country on November 14, 2024, and were attended by various stakeholders including community members. The GBV, sexual exploitation and abuse/harassment (SEAH), risk is rated substantial due to national ID registration including contextual factors that exacerbate the GBV risks due to predominantly peri-urban and rural sites for ID registration and weaker mitigation systems. To mitigate these risks, SEAH mitigation measures will be incorporated in the NIRA strategy and relevant project documents. The Government will also prepare the Labor Management Procedures and e-waste management plan and incorporate relevant E&S aspects. The project will build on the Environmental and Social Management System developed for Gargaara to identify, assess, and manage environmental and social risks for the risk-sharing platform. For security risks, the existing system established under SCALED-UP will be upgraded according to the latest risk-based guidance.

D. Grievance Redress Service

65. **Grievance redress.** Communities and individuals who believe that they are adversely affected by a project supported by the World Bank may submit complaints to existing project-level grievance mechanisms or the Bank's Grievance Redress Service (GRS). The GRS ensures that complaints received are promptly reviewed in order to address project-related concerns. Project affected communities and individuals may submit their complaint to the Bank's independent Accountability Mechanism (AM). The AM houses the Inspection Panel, which determines whether harm occurred, or could occur, as a result of Bank non-compliance with its policies and procedures, and the Dispute Resolution



Service, which provides communities and borrowers with the opportunity to address complaints through dispute resolution. Complaints may be submitted to the AM at any time after concerns have been brought directly to the attention of Bank Management and after Management has been given an opportunity to respond. For information on how to submit complaints to the Bank's Grievance Redress Service (GRS), visit <http://www.worldbank.org/GRS>. For information on how to submit complaints to the Bank's Accountability Mechanism, visit <https://accountability.worldbank.org>.

V. KEY RISKS

Description of Risk	Mitigation Measure	Rating
Political and Governance		
FGS continues to have limited operational capacity and physical reach into the country, affected by the prevalence of illicit groups such as Al-Shabaab. There are also risks associated with continuing political contestation among federal government institutions and between the FGS and the FMS. Furthermore, corruption is prevalent at all levels in the public and private sectors.	SPRING Project includes multipronged mitigation measures into its design, including the strengthening of FM systems and of core fiduciary and contract management institutional capacities, and a key coordination role to be played by the PSC.	High
Macroeconomic		
Despite steady improvements in the revenue collection in recent years, the risk of economic shocks further damaging the country's already volatile economy is high. Economic activity is likely to have significant risks related to insecurity in Mogadishu and southern Somalia. Given the FGS's limited capacity to dampen economic disruptions, the risk of MSMEs having to absorb their full impact is high. Revenue fluctuations and the resulting potential increase of nonperforming loans (NPLs) in the banking sector pose direct risks to project implementation, particularly in enhancing access to finance.	Ongoing work under other World Bank-financed projects will support increased revenue mobilization and increase macroeconomic stability. SPRING Project would also build on activities currently implemented in other World Bank-financed projects—for example, DRIVE and SCALED-UP — to manage financial sector stability risks.	High
Sector Strategies and Policies		
Potential fragmentation of development partner support is a risk. While project preparation reflects a highly consultative process, it will be necessary to maintain dialogue with other donors throughout project implementation. There is also a substantial risk that the project may not be implemented in the most effective and efficient manner, given political economy challenges of anticompetitive practices by well-connected conglomerates, and complications with reform implementation given the corruption, infrastructure deficiencies, and other systemic challenges.	Targeted support to strengthen MDAs' institutional capacity to mitigate risks related to efficient project implementation. Active collaboration through development partners engagement platforms will also be conducted to mitigate risks related to fragmentation.	Substantial
Technical Design of Project or Program		
SPRING's reform agenda is ambitious, with multiple components cutting across key institutions and regional governments, while Somalia's administrative and sectoral institutions have limited ability to absorb resources and human capital at a rapid pace, and the required intra- and intergovernmental coordination is weak.	Reforms will be introduced gradually to ensure government ownership and incremental capacity building tailored to the context. Implementation teams and TA will mitigate the complexity of risks. Close monitoring of work plans by the PSC and World Bank will be critical.	Substantial



Description of Risk	Mitigation Measure	Rating
Institutional Capacity for Implementation and Sustainability		
Despite substantial progress, the Government's capacity and resources remain limited. Recently established entities, such as NIRA, will require additional support in coordination with the MoF to ensure fiscal sustainability.	The PIU housed at the MoF has demonstrated the ability to successfully implement the ongoing SCALED-UP and DRIVE projects. SPRING Project will support continued institutional capacity building at key beneficiary MDAs. It will also allocate resources to strengthen the PIU's capabilities in E&S practices and M&E, including the use of an independent monitoring agent. Project activities also consider appropriate institutional mandates of new institutions, adequate sources of funds to meet capital and operational costs, and strong governance arrangements for long-term sustainability.	Substantial
Fiduciary		
Somalia's accountability systems are still evolving. For instance, there is a lack of key FM competencies and strong internal controls, reliance on consultants, a weak and fragmented country PFM legal framework, no correspondent banking relationships (CBRs) for commercial banks, a developing payment system infrastructure, and increasing government use of digital financial services to facilitate local payments—including from some World Bank-funded activities.	The World Bank will continue to maximize disbursements under the project directly to vendors, minimize DA balances, conduct intensive FM monitoring through reconciliation of project and bank accounts and deployment of in-country monitoring arrangements, and support capacity building of national PFM oversight institutions. Improving Somalia's payment system infrastructure, promoting CBRs, and strengthening oversight of cross-border transactions will also help mitigate these risks.	Substantial
Environment and Social		
Key risks relate to exclusion from project benefits; labor risks including OHS; sexual exploitation and abuse/sexual harassment; all forms of GBV; security, safety, and well-being of workers and project-affected communities; and insufficient e-waste management.	Continued use of the experienced SCALED-UP PIU will help mitigate these risks. To mitigate the PIU's limited experience with the ESF, SPRING Project will support capacity building at the PIU and key MDAs to establish clear protocols for E&S monitoring and reporting and ensure effective coordination mechanisms are in place. All E&S commitments have been included in the ESCP and there will be regular monitoring and reporting on performance.	Substantial
Stakeholders		
The current context in Somalia is characterized by the lack of trust between key groups in society, and the accompanying high levels of contestation. Opposition from stakeholders (civil society, private sector organizations, other donors, and other members of the public) is possible. If the vested interests of respective parties are incompatible or where other stakeholders cannot, or will not, accept a common position, this can potentially have a negative impact on the achievement of the PDO.	The project builds on continuous engagement with all stakeholders and civil society. Understanding the relative power and influence of different stakeholders will help reconcile their claims on the project. The project's GRM would help manage grievances from communities and the private sector.	Substantial
Overall Program Risk		High



ANNEX 1. RESULTS FRAMEWORK

PDO Indicators by PDO Outcomes

Baseline	Period 1	Period 2	Period 3	Period 4	Closing Period
Business enabling environment improved					
Number of new firms benefitting from reformed business registration requirements (cumulative) (Number of businesses)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	300	1,500	3,000	4,500	5,500
➤ of which are women-owned (Percentage)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	30	30	30	30	30
People with digitally verifiable identification (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	500,000	1,500,000	3,000,000	4,000,000	5,000,000
➤ of which are women (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	250,000	750,000	1,500,000	2,000,000	2,500,000
Financial system strengthened					
Number of new bank accounts opened (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	50,000	100,000	180,000	270,000	400,000
Access to finance enhanced					
Number of jobs created through the RSM and BDS (cumulative) (Number)					
May/2025	Jun/2026	Dec/2027	Jun/2028	Jun/2029	Jun/2030
0	-	1,330	-	-	2,250
Number of businesses accessing credit with the support of the RSM (cumulative) (Number of businesses)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	150	400	600	900	1,100

Intermediate Indicators by Components



Baseline	Period 1	Period 2	Period 3	Period 4	Closing Period
Comp. 1: Improving the enabling environment for the private sector					
Number of new or amended laws and regulations improving the business enabling environment enacted (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	1	2	5	8	11
Number of new public and private service providers using NIRA digital identity verification services (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	2	4	6	8	10
Number of people whose identity is verified using the digital ID (annual) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	30,000	65,000	105,000	150,000	200,000
Percentage of customer support and grievance redress service requests addressed per year by NIRA (Percentage)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	80	90	100	100	100
Comp. 2: Deepening financial sector reforms and strengthening institutional capacity					
Number of new loans for MSMEs provided by Gargaara (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	500	1,000	1,750	2,500	3,000
Value of new disbursements to MSMEs by Gargaara (cumulative) (Amount(USD))					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	5,000,000	13,000,000	18,000,000	24,000,000	30,000,000
Number of regulations linked to new laws and policy guidance related to the financial sector issued (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	2	5	8	11	15
Number of transactions processed through the SIPS (annual) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	3,300,000	4,500,000	6,000,000	7,000,000	10,000,000
Value of transactions through the SIPS (annual) (Amount(USD))					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	33,000,000	45,000,000	60,000,000	70,000,000	100,000,000
PBC 1: Macprudential framework strengthened (Yes/No) ^{PBC}					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
No	No	No	Yes	Yes	Yes



PBC 2: Financial sector data collection, analysis, and transparency improved (Yes/No) ^{PBC}					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
No	No	No	No	Yes	Yes
PBC 3: Expanded oversight of financial systems (Yes/No) ^{PBC}					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
No	No	No	No	No	Yes
PBC 4: Consolidated supervision of banks and non-bank financial institutions (Yes/No) ^{PBC}					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
No	No	No	No	No	Yes
PBC 5: Improved access to financial services through better risk assessment of borrowers (Yes/No) ^{PBC}					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
No	No	No	Yes	Yes	Yes
Comp. 3: Enhancing access to finance and resilience for MSMEs					
Number of RSM-supported loans for women-owned/managed MSMEs (cumulative) (Number)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	45	120	180	270	330
Value of RSM-supported loans for women-owned/managed MSMEs (cumulative) (Amount(USD))					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	675,000	1,500,000	2,400,000	3,300,000	4,300,000
Amount of private capital enabled through the RSM (cumulative) (Amount(USD))					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	4,500,000	10,000,000	16,000,000	22,000,000	29,000,000
Number of MSMEs benefitting from BDS (cumulative) (Number of businesses)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	400	800	1,200	1,600	2,000
➤ of which of women-owned/managed businesses (Percentage)					
May/2025	Jun/2026	Jun/2027	Jun/2028	Jun/2029	Jun/2030
0	25	25	25	25	25
Comp. 4: Project Management					

Performance-based Conditions (PBC)

Period	Period Definition
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Period 1	2025
Period 2	2026
Period 3	2027
Period 4	2028
Period 5	2029
Period 6	2030

Baseline	Period 1	Period 2	Period 3	Period 4	Period 5	Period 6
1:PBC 1: Macprudential framework strengthened (Yes/No)						
No			Macroprudential framework to monitor, assess, and mitigate systemic risks approved by the CBS Board and implementation plan operationalized (Expected to be completed by December 2027)			
0.00	0.00	0.00	750,000.00	0.00	0.00	0.00
PBC allocation		750,000.00		As a % of Total PBC Allocation		12.5%
2:PBC 2: Financial sector data collection, analysis, and transparency improved (Yes/No)						
No		Consolidated Financial Soundness Indicator Data (FSI) is published on the CBS website, with expanded IMF FSI data coverage (including all licensed banks) (Expected to be completed by August 2026)		Consolidated FSI data is published on the CBS website, with expanded IMF FSI data coverage (including all licensed banks and other licensed financial institutions) (Expected to be completed by December 2028)		
0.00	0.00	500,000.00	0.00	500,000.00	0.00	0.00



PBC allocation		1,000,000.00		As a % of Total PBC Allocation		16.67%
3:PBC 3: Expanded oversight of financial systems (Yes/No)						
No		Regulation issued by CBS on Safeguarding of Mobile Money Funds (Expected to be completed by December 2026)	Regulation issued by CBS relating to Savings and Credit Cooperative Societies (SACCOs) (Expected to be completed by December 2027)	At least 5 microfinance institutions (MFIs) and 1 SACCO licensed by CBS (Expected to be completed by December 2028)	Regular offsite supervision for all licensed MFIs and SACCOs conducted and onsite examinations completed for at least 2 MFIs and 1 SACCOs (Expected to be completed by December 2029)	
0.00	0.00	400,000.00	350,000.00	250,000.00	250,000.00	0.00
PBC allocation		1,250,000.00		As a % of Total PBC Allocation		20.83%
4:PBC 4: Consolidated supervision of banks and non-bank financial institutions (Yes/No)						
No			Regulation to undertake consolidated supervision and financial reporting of financial groups is issued by the CBS (Expected to be completed by December 2027)	CBS has completed consolidated supervision of at least 1 financial group (comprising one of the four largest banks in terms of assets at the end of previous calendar year) (Expected to be completed by December 2028)	CBS has completed consolidated supervision of at least 2 additional financial groups (comprising at least one additional bank from the four largest banks in terms of assets at the end of previous calendar year) (Expected to be completed by December 2029)	
0.00	0.00	0.00	1,000,000.00	500,000.00	500,000.00	0.00
PBC allocation		2,000,000.00		As a % of Total PBC Allocation		33.33%
5:PBC 5: Improved access to financial services through better risk assessment of borrowers (Yes/No)						
No	Credit Information System (CIS) framework developed and approved by the	CIS launched with at least 4 banks connected and contributing to data	CIS being used by at least 4 banks contributing and accessing credit			



	CBS board (Expected to be completed by December 2025)	collection (Expected to be completed by December 2026)	information consistently over 3 months (Expected to be completed by December 2027)			
0.00	250,000.00	500,000.00	250,000.00	0.00	0.00	0.00
PBC allocation		1,000,000.00	As a % of Total PBC Allocation		16.67%	



Monitoring and Evaluation Plan: PDO Indicators by PDO Outcomes

Business enabling environment improved	
Number of new firms benefitting from reformed business registration requirements (% of which are women-owned) (cumulative)	
Description	This indicator tracks the number of new firms that register on the SBRS online platform. Once the new legal and regulatory framework for business registration and licensing is adopted, all the firms in the SBRS can be assumed to benefit from reformed business registration and licensing requirements as they will need, at minimum, to apply for new licenses through the SBRS every year. However, only new firms in the SBRS will be recorded as part of this project. The number of firms already in the SBRS is expected to be around 6,000 by May 2025.
Frequency	Quarterly
Data source	SBRS reports
Methodology for Data Collection	The SBRS focal point will generate reports from the SBRS indicating the total number of firms in the SBRS. The data will be gender disaggregated. Determining the number of new firms in the SBRS will consist of subtracting the baseline (firms already in the SBRS before the project starts) from the total number of firms in the SBRS. MoCI will be in charge of determining the baseline for this indicator. It will also need to prevent double counting as other World Bank-financed operations will be ongoing when the project starts (that is, SCALED-UP).
Responsibility for Data Collection	MoCI
People with digitally verifiable identification (of which are women) (cumulative)	
Description	This indicator tracks the number of new people who register in the foundational digital ID system. It does not include people that registered under SCALED-UP. It is estimated that approximately 175,000 people will be registered in the foundational ID system by May 2025.
Frequency	Quarterly
Data source	Digital ID system reports
Methodology for Data Collection	NIRA will generate reports regarding the number of people registered in the digital ID system. The data will be gender disaggregated. Determining the number of new people registered in the digital ID system will consist of subtracting the baseline (people already in the digital ID system) from the total number of people registered in the digital ID system. NIRA will be in charge of determining the baseline for this indicator. It will also need to prevent double counting as other World Bank-financed operations will be ongoing when the project starts (that is, SCALED-UP).
Responsibility for Data Collection	NIRA
Financial system strengthened	
Number of new bank accounts opened (cumulative)	
Description	This indicator tracks the number of new bank accounts opened during the project's implementation. It is estimated that approximately 1,200,000 bank accounts will already be open by May 2025.
Frequency	Semiannually
Data source	CBS surveys
Methodology for Data Collection	CBS will conduct periodic surveys to determine the number of new accounts opened during the project's implementation.



	Determining the number of new bank accounts opened will consist of subtracting the baseline (already existing bank accounts) from the total number of bank accounts determined through the surveys. CBS will be in charge of determining the baseline for this indicator.
Responsibility for Data Collection	CBS
Access to finance enhanced	
Number of businesses accessing credit with the support of the RSM (cumulative)	
Description	This indicator is linked to the CRI: People and businesses using financial services. It specifically measures the number of businesses accessing credit with the support of the RSM.
Frequency	Quarterly
Data source	PFI's reports
Methodology for Data Collection	PFI's are required to provide quarterly reports to the entity managing the RSM. These reports will need to clearly indicate the number of businesses benefiting from loans through the RSM.
Responsibility for Data Collection	Entity managing the RSM
Number of jobs created through the RSM and BDS (cumulative)	
Description	This indicator is linked to the CRI: New or better jobs. It tracks the estimated number of new jobs created by firms benefitting from loans through the RSM or BDS.
Frequency	Twice (midterm review and end of project)
Data source	Beneficiaries loan applications, BDS participation forms, and surveys
Methodology for Data Collection	At the time of application/registration for an RSM-supported loan or BDS, firms will need to indicate on their application/registration forms the number of employees they currently have and the number of employees they expect to hire after receiving the services. They will also be required to provide their contact information and consent to be contacted by the service providers for this activity (for example, entity managing RSM, entity managing BDS, PFIs, BDS provider, PIU, and/or survey firm). As the project nears the midterm review, the PIU will enable the hiring of a survey firm to follow up with the businesses that benefitted from the services and determine the number of new jobs created. The same operation will be reiterated toward the end of the project. It is estimated that the project could generate 1,300 and 30 jobs through the RSM and BDS, respectively, by midterm review and 1,750 and 500 jobs by the end of the project, respectively.
Responsibility for Data Collection	PIU - in coordination with entities managing the RSM/BDS and service providers (for example, PFIs and BDS provider)

Monitoring and Evaluation Plan: Intermediate Results Indicators by Components

Component 1: Improving the enabling environment for the private sector	
Number of new or amended laws and regulations improving the business enabling environment enacted (cumulative)	
Description	This indicator tracks the number of laws and regulations improving the business-enabling environment enacted by the Parliament (for laws) or approved by the Minister of Commerce and Industry (for regulations). MoCI expects to enact at least 5 laws and 6 regulations (11 in total). The laws and regulations expected to be enacted during the project are the Commercial Registration and Licensing Law regulations, the National Insolvency Policy and Law (and its regulation), the Trust Law (and its regulation), the Arbitration Law (and its regulation), the Trade Remedies Act (and its regulation), and the SMEs Policy and Act (and its regulation). Additional or replacement laws and regulations may be considered as the project is implemented.
Frequency	Quarterly



Data source	MoCI reports
Methodology for Data Collection	MoCI will be responsible for tracking and providing regular updates about the development, steps taken toward enactment, and implementation for the laws and regulations supported by the project.
Responsibility for Data Collection	MoCI
Number of new public and private service providers using NIRA digital identity verification services (cumulative)	
Description	This indicator tracks the number of new government agencies and private service providers (for example, banks) that use NIRA's identity verification service linked to the digital ID. It is expected that at least two service providers will be using NIRA's digital identity verification service by May 2025.
Frequency	Quarterly
Data source	Partnership agreements with entities using NIRA services
Methodology for Data Collection	Access to NIRA identity verification services will be subject to signing of an agreement. Signing of the agreement will serve as proof that the partnering entity has access to NIRA identity verification services. Determining the number of new service providers will consist of subtracting the baseline (already existing partnerships) from the total number of service providers with access to NIRA's identity verification service. NIRA will be in charge of determining the baseline for this indicator. It will also be required to report whether the entities are actively using the system.
Responsibility for Data Collection	NIRA
Number of people whose identity is verified using the digital ID (annual)	
Description	This indicator tracks the number of people whose identity is verified using the digital ID at least once during the year. This indicator only collects the number of unique users of the system. It is expected that 1,056 people will have used the digital ID system to verify their identity by May 2025.
Frequency	Quarterly
Data source	Digital ID/identity verification system reports
Methodology for Data Collection	NIRA will generate reports from the digital ID/identity verification system indicating the number of people whose identity is verified at least once using the digital ID. Reporting will occur on a quarterly basis, but the targets are annual and noncumulative.
Responsibility for Data Collection	NIRA
Percentage of customer support and grievance redress service requests addressed per year by NIRA	
Description	This indicator tracks the number of customer support and GRS requests addressed by NIRA. NIRA already benefits from a GRS and will establish a customer support platform (for example, hot line).
Frequency	Quarterly
Data source	Customer service platform and GRS reports
Methodology for Data Collection	NIRA will monitor and report the total number of requests addressed and the total number of requests received through the two systems. Those two numbers will be used to compute the percentage for this composite indicator. NIRA will also be required to periodically provide logs of those two systems displaying the numbers listed above to demonstrate the accuracy of their reporting.
Responsibility for Data Collection	NIRA
Component 2: Deepening financial sector reforms and strengthening institutional capacity	
Number of new loans for MSMEs provided by Gargaara (cumulative)	
Description	This indicator tracks the number of loans provided by PFIs using Gargaara's funding.
Frequency	Quarterly
Data source	PFIs' reports



Methodology for Data Collection	PFI's are required to provide detailed lending information to Gargaara. Those reports will specifically indicate the number of loans provided to firms.
Responsibility for Data Collection	Gargaara
Value of new disbursements to MSMEs by Gargaara (cumulative) (US\$)	
Description	This indicator tracks the value of disbursements provided by PFI's using Gargaara's funding.
Frequency	Quarterly
Data source	PFI's reports
Methodology for Data Collection	PFI's are required to provide detailed lending information to Gargaara. These reports will specifically indicate the value of loans provided to firms.
Responsibility for Data Collection	Gargaara
Number of regulations linked to new laws and policy guidance related to the financial sector issued (cumulative)	
Description	This indicator tracks the number of regulations linked to new laws and policy guidance (including frameworks development) related to the financial sector issued.
Frequency	Quarterly
Data source	CBS regulations, frameworks, and guidance notes repository
Methodology for Data Collection	For this indicator, the issuance is determined when the regulations, framework, and guidance are approved by the Central Bank Governor and published on the CBS website. CBS will be required to provide quarterly updates about the development of key regulations, frameworks, and policy guidance as well as their issuance/publication and implementation. CBS is currently expecting to develop the following regulations, frameworks, and guidance during the project's implementation: a) MFIs: 1. Licensing and Supervision Regulation; b) Takaful/Insurance Institutions: 2. Licensing Regulation, 3. AML/CFT Regulation/Guideline, 4. Regulation on Financial Reporting, 5. Regulation on Capital Requirement, 6. Regulation on Management of Takaful Funds; c) Foreign Exchange Bureaus: 7. Licensing and Operations Regulation; d) Payment Services: 8. Licensing of Payment Service Providers, 9. Issuance of electronic money, 10. Safeguarding of Mobile Money Funds, 11. Regulatory capital for different classes of operators and Payment Service Providers; e) Regulations on Banking Supervision: 12. Significant Exposures; 13. Regulatory framework to undertake consolidated supervision issued by the CBS requiring consolidated financial reporting; 14. Credit Reference Bureau Regulation; 15. Macroprudential framework to monitor, assess, and mitigate systemic risks; f) Other Regulations: 16. SACCOs regulation, 17. Climate/Green Finance Framework/Guidance; 18. Development Finance Business Regulation, 19. Consumer Protection Regulation/Guidelines.
Responsibility for Data Collection	CBS
Number of transactions processed through the SIPS (annual)	
Description	This indicator tracks the number of transactions through the SIPS.
Frequency	Quarterly
Data source	SIPS reports
Methodology for Data Collection	CBS will be required to monitor the number of transactions through the SIPS and prepare reports providing such data. Reporting will occur on a quarterly basis, but the targets are annual and noncumulative.
Responsibility for Data Collection	CBS
Value of transactions through the SIPS (annual) (US\$)	
Description	This indicator tracks the value of transactions through the SIPS.
Frequency	Quarterly
Data source	SIPS reports
Methodology for Data Collection	CBS will be required to monitor the value of transactions through the SIPS and prepare reports providing such data. Reporting will occur on a quarterly basis, but the targets are annual and noncumulative.



Responsibility for Data Collection	CBS
PBC 1: Macroprudential framework strengthened	
Description	This indicator tracks progress relating to the development of a macroprudential framework.
Frequency	Ad hoc
Data source	Verification protocol for PBC
Methodology for Data Collection	Verification protocol for PBC 1. CBS will hire an IVA to verify the completion of the PBC. While verifications will occur at intervals to be determined, CBS will be required to provide quarterly updates on progress toward the completion of the PBC.
Responsibility for Data Collection	CBS
PBC 2: Financial sector data collection, analysis and transparency improved	
Description	This indicator tracks progress toward the collection, analysis, and publication of FSI data (including IMF FSI expanded coverage) from all licensed financial institutions on the CBS website.
Frequency	Ad hoc
Data source	Verification protocol for PBC
Methodology for Data Collection	Verification protocol for PBC 2 CBS will hire an IVA to verify the completion of the PBC. While verifications will occur at intervals to be determined, CBS will be required to provide quarterly updates on progress toward the completion of the PBC.
Responsibility for Data Collection	CBS
PBC 3: Expanded oversight of financial system	
Description	This indicator tracks progress toward the development of regulations on safeguarding mobile money funds as well as SACCOs. It also monitors the licensing of MFIs and SACCOs as well as their off-site and on-site supervision.
Frequency	Ad hoc
Data source	Verification protocol for PBC
Methodology for Data Collection	Verification protocol for PBC 3 CBS will hire an IVA to verify the completion of the PBC. While verifications will occur at intervals to be determined, CBS will be required to provide quarterly updates on progress toward the completion of the PBC.
Responsibility for Data Collection	CBS
PBC 4: Consolidated supervision of banks and non-bank financial institutions	
Description	This indicator tracks the development of a regulatory framework for financial institutions supervision and its implementation.
Frequency	Ad hoc
Data source	Verification protocol for PBC
Methodology for Data Collection	Verification protocol for PBC 4 CBS will hire an IVA to verify the completion of the PBC. While verifications will occur at intervals to be determined, CBS will be required to provide quarterly updates on progress toward the completion of the PBC.
Responsibility for Data Collection	CBS
PBC 5: Improved access to financial services through better risk assessment of borrowers	
Description	This indicator tracks progress toward the launch of a CIS and its implementation.
Frequency	Ad hoc
Data source	Verification protocol for PBC
Methodology for Data Collection	Verification protocol for PBC 5



	CBS will hire an IVA to verify the completion of the PBC. While verifications will occur at intervals to be determined, CBS will be required to provide quarterly updates on progress toward the completion of the PBC.
Responsibility for Data Collection	CBS
Component 3: Enhancing access to finance and resilience for MSMEs	
Number of RSM-supported loans for women-owned/managed MSMEs (cumulative)	
Description	This indicator tracks the number of loans enabled through the RSM to women-owned/managed MSMEs only.
Frequency	Quarterly
Data source	PFI's reports
Methodology for Data Collection	PFI's will be required to provide quarterly reports to the entity managing the RSM. These reports will specifically disaggregate the number of loans provided to firms by gender.
Responsibility for Data Collection	Entity managing the RSM
Value of RSM-supported loans for women-owned/managed MSMEs (cumulative) (US\$)	
Description	This indicator tracks the value of loans enabled through the RSM to women-owned/managed MSMEs only.
Frequency	Quarterly
Data source	PFI's reports
Methodology for Data Collection	PFI's will be required to provide quarterly reports to the entity managing the RSM. These reports will specifically disaggregate the number of loans provided to firms by gender.
Responsibility for Data Collection	Entity managing the RSM
Amount of private capital enabled through the RSM (cumulative) (US\$)	
Description	This indicator tracks the amount of private capital that the RSM would enable. It specifically tracks the value of the loans derisked through the RSM.
Frequency	Quarterly
Data source	PFI's reports
Methodology for Data Collection	PFI's will be required to provide quarterly reports to the entity managing the RSM. These reports will need to clearly indicate the value of the loans derisked through the RSM.
Responsibility for Data Collection	Entity managing the RSM
Number of new MSMEs benefitting from BDS (% of which of women-owned/managed businesses) (cumulative)	
Description	This indicator tracks the number of MSMEs benefitting from BDS.
Frequency	Quarterly
Data source	BDS registration forms/training reports
Methodology for Data Collection	The BDS provider will be required to maintain a list of all the MSMEs benefitting from the services (for example, registration forms and training reports). The data will be gender disaggregated. In coordination with the entity managing the BDS program and the PIU, it will be important to ensure that firms participating in phase 2 of the BDS program are not double counted.
Responsibility for Data Collection	BDS provider

Verification Protocol: Performance-Based Conditions

PBC 1: Macroprudential framework strengthened	
Description	Macroprudential framework to monitor, assess, and mitigate systemic risks approved by the CBS board and implementation plan operationalized.
Data source/ Agency	CBS
Verification Entity	IVA



Procedure	The CBS will send to the IVA the CBS board-approved macroprudential framework to monitor, assess, and mitigate systemic risks. It will also share the documents that prove that the framework was approved by the CBS board (or any other decision document as agreed with the World Bank). Lastly, it will provide a copy of the terms of reference of the Financial Stability Committee (FSC) and/or the overall standing policy committees approved by the CBS board as well as evidence of the meetings of the FSC (or other committees as agreed with the World Bank) over a period of at least 3 months to demonstrate that the implementation plan is operationalized. Any addition documents/reports generated as part of the macroprudential monitoring could be also provided for review.
PBC 2: Financial sector data collection, analysis and transparency improved	
Description	a) Consolidated FSI data is published on the CBS website, with expanded IMF FSI data coverage (including all licensed banks), and b) consolidated FSI data is published on the CBS website, with expanded IMF FSI data coverage (including all licensed banks and other licensed financial institutions).
Data source/ Agency	CBS
Verification Entity	IVA
Procedure	The IVA will visit the CBS website to ensure that the consolidated FSI data is published for all licensed banks and other licensed financial institutions. The IVA will note that part a) only focuses on all licensed banks and part b) focuses on all licensed banks and other licensed financial institutions. The IVA will verify that the published consolidated FSI data include at least 12 of the following key indicators: A. Core FSIs for Deposit Takers (Commercial Banks): 1. Regulatory capital to risk-weighted assets, 2. Tier 1 capital to risk-weighted assets, 3. NPLs net of provisions to capital, 4. NPLs net of provisions, 5. Total regulatory capital, 6. Common Equity Tier 1 capital to risk-weighted assets, 7. Tier 1 capital to assets, 8. NPLs to total gross loans, 9. Provisions to NPLs, 10. Return on assets, 11. Return on equity, 12. Profit margin to gross income, 13. Noninterest expenses to gross income, 14. Liquid assets to total assets, and 15. Liquidity coverage ratio. B. Other Financial Institutions: 16. Other Financial Corporations' assets to total financial assets and 17. Other Financial Corporations' assets to GDP. The IVA will be granted the right to verify any additional documents to ensure the accuracy of the consolidated FSI data published on the CBS website and to check its alignment with the agreed FSI.
PBC 3: Expanded oversight of financial system	
Description	a) Regulation issued on Safeguarding of Mobile Money Funds, b) regulation issued relating to SACCOs, c) at least 5 MFIs and 1 SACCO licensed, and d) regular off-site supervision for all licensed MFIs and SACCOs conducted and on-site examinations completed for at least 2 MFIs and 1 SACCO.
Data source/ Agency	CBS
Verification Entity	IVA
Procedure	The CBS will share the final drafts of the two regulations on Safeguarding of Mobile Money Funds and SACCOs with the IVA. It will also share with the IVA the documents proving that the regulations have been approved by the CBS board (or any other decision document as agreed with the World Bank) and have been issued. The IVA will also verify the CBS website to ensure that the regulation is published. It will visit the CBS offices to physically verify the license certificates of the five MFIs and one SACCO as well as the off-site and on-site supervision reports to confirm that these are conducted on periodic / regular intervals (with off-site monitoring of data collected monthly and consolidated quarterly and on-site risk-based supervision). It will also be granted the right to check the necessary records and attachments (physical or electronic) to assess the thoroughness of the supervision activity.
PBC 4: Consolidated supervision of banks and non-bank financial institutions³⁶	
Description	a) Regulation to undertake consolidated supervision and financial reporting of financial groups is issued by the CBS, b) CBS has completed consolidated supervision of at least 1 financial group (comprising 1 of the 4 largest banks in terms of total assets at the end of previous calendar year), and c) CBS has completed consolidated supervision of at least 2 additional financial groups (comprising at least 1 additional bank from the 4 largest banks in terms of total assets at the end of previous calendar year).

³⁶ Consolidated supervision of a financial group or financial conglomerate means that regulators assess the risks and financial stability of the entire financial group rather than just individual entities (banks, insurance, MFIs, and so on), to ensure the group is financially sound as a whole and does not pose systemic risks to the financial system.



Data source/ Agency	CBS
Verification Entity	IVA
Procedure	The CBS will share the final draft of the regulation for consolidated supervision and financial reporting of financial groups with the IVA. It will also share any document proving that this regulation was approved by the CBS board (or any other decision document as agreed with the World Bank). The IVA will visit the CBS website to ensure that the regulation is published. It will also visit the CBS offices to physically verify the on-site supervision reports upon their completion. It will also be granted the right to check the necessary records and attachments (physical or electronic) to assess the thoroughness of the supervision activity.
PBC 5: Improved access to financial services through better risk assessment of borrowers	
Description	(a) CIS framework developed and approved by the CBS board, (b) CIS launched with at least 4 banks connected and contributing to data collection, and (c) CIS being used by at least 4 banks contributing and accessing credit information consistently over 3 months.
Data source/ Agency	CBS
Verification Entity	IVA
Procedure	The CBS will share the final draft of the CIS framework with the IVA. It will also share the board resolution approving the framework with the IVA (or any other decision document as agreed with the World Bank). It will also enable a technical visit from the IVA to show the system's functionalities and its integration with banks to confirm that the CIS is launched/operational with 4 banks connected and contributing to data collection for the CIS. Furthermore, it will share the consolidated reports of the 4 banks connected to the CIS spanning over 3 months summarizing the CIS-related activity, information collection and exchanges (expected to include positive and negative information on customers), and overall operational performance.



ANNEX 2. ADDITIONAL TABLES

Table A1. Summary of the CBS program

Component	Subcomponent	Category	Activity	Program Costs (\$US)	IPF Input-Based Financing	PBC-Based Financing		PBC Results Contribution
						(Procurable)	(Non-procurable)	
2. Deepening financial sector reforms and strengthening institutional capacity	2.2 Strengthening financial sector stability, integrity, and infrastructure	Strengthening financial sector oversight and policy implementation	This category will cover activities to support policy development ^a	14,000,000	14,000,000	-	-	PBC 1, 2, 3,4,5
		Incentivizing financial sector reforms	Economic Policy Outreach ^b	400,000	-		400,000	
			Hiring staff and consultants ^c	1,500,000	-	1,000,000	500,000	
			Skills development/certifications ^d	1,150,000	-	-	1,150,000	
			Training	1,300,000	-	-	1,300,000	
			Study visits ^e	1,300,000	-	-	1,300,000	
			Software and licenses ^f	50,000	-	-	50,000	
			Policy Development and Translation	900,000	-	-	900,000	
		Enhancement of financial infrastructure	This category will cover activities to upgrade the financial sector's infrastructure ^f	5,000,000	5,000,000	-	-	
		Total			25,600,000	19,000,000	1,000,000	

Notes:

a The detailed activity package will be outlined in the project's annual workplans in consultation with the World Bank.

b Economic policy outreach expenditures relate to the organization of the CBS Annual Conference on Economic Policies 2025-2030. The costs include event management, publications, peer reviewers, best paper awards, travel expenses of event guests within Somalia and outside, and other incidental costs related to the event.

c The CBS will also have expenditures related to the hiring of new and/or well-trained personnel. Salary costs as well as recruitment and onboarding expenses are covered by staff hiring expenses. Other forms of expenses for a merit-based competitive selection process include job advertising, shortlisting, reference checks, recruiting expenses. New hires will also need work tools, office supplies, software licenses, and other IT tools.

d Continued skill development is essential for CBS employees. As a result, the CBS ensures that staff members remain current on job-related best practices and new technologies by enabling them to acquire professional certifications. Moreover, all initiatives for certification of skills will follow CBS's HR internal policy to ensure relevance, fairness, and conformity with business objectives. Eligible expenses under this category will include training courses for certifications (Cisco Certified Network Associate, Cisco Certified DevNet Professional, Certified Fraud Examiner, Certified Internal Auditor, Association of Chartered Certified Accountants, etc.), seminars, and workshops meant to raise staff members' competencies and skills, including professional certifications. This activity also covers attendance to high-level conferences, knowledge-sharing events, and capacity-building initiatives, including those supported by development partners. Furthermore, considered qualified are expenses related to online learning environments, coaching sessions, and tailored development initiatives appropriate for the corporate operational needs. Costs for training materials, exam fees, travel expenses could also be included provided they complement the strategic goals of the CBS.

e Study visits foster knowledge sharing, capacity building, and exposure to best practices in relevant sectors, their cost is considered as eligible expenditure. These study visits will adhere to CBS's HR internal policy to ensure relevance, openness, and match with organizational goals. Under this category, eligible expenses include participants' local transportation, airfare, lodging, and daily allowances. It also covers site visits, academic program registration fees, and meetings with key businesses and partners. Furthermore, considered eligible are costs for translating services, learning materials, and documentation tools—should they be required.

f The CBS will also acquire software and related licenses necessary for the performance of its duties. At present, the CBS plans on acquiring software licenses for Stata, Stat Transfer, and EViews. The CBS may also consider other software as necessary. Expenditures will also encompass related support services, enhancements, and training courses required to maximize the value of these tools. Purchasing these software licenses will enable the CBS in providing high-quality research and reporting, increasing data accuracy, and sharpening analytical skills.



Table A2. Gender analysis results chain

Gender Gap	Analysis	Actions	Indicators	PDO	Target
Access to formal registration of businesses	Most women-owned businesses are informal and micro/small in size, and the legal/regulatory framework does not facilitate their registration.	Support dissemination of new legal/regulatory framework to facilitate the registration of micro/small enterprises. Develop information campaigns to raise awareness of the SBRS for women-owned businesses.	Number of new firms benefitting from reformed business registration requirements (% of which are women-owned) (cumulative)	Yes	5,500 (30%)
Access to identification	Women face issues with obtaining identification due to structural barriers, traditional gender roles, and clan-based customs.	Develop information campaigns to raise awareness of the ID system for women. Diversify the type of registration sites to enable maximum coverage and facilitate physical access (including partnerships with financial institutions).	People with digitally verifiable identification (of which are women) (cumulative)	Yes	5 million (2.5 million)
Access to finance	Women-owned/managed businesses struggle with accessing financing due to financial institutions' perceptions of risk.	Establish an RSM to derisk loans of PFIs, with increased coverage for women-owned/managed businesses.	Number of RSM-supported loans for women-owned/managed MSMEs (cumulative)	No	330
		Develop information campaigns to support the uptake of loans by women-owned/managed businesses through SPRING Project supported mechanisms.	Value of RSM-supported loans for women-owned/managed MSMEs (US\$, million) (cumulative)	No	4.3
Vulnerability to shocks	Women-owned/managed businesses in Somalia are particularly vulnerable to shocks.	Offer BDS to women-owned/managed businesses to enhance their resilience, specifically climate shocks. Promote BDS to women-owned/managed businesses through awareness-raising activities.	Number of MSMEs benefitting from BDS (% of which are women-owned/managed businesses) (cumulative)	No	2,000 (25%)